

Financial Review for the year ended 31 July 2022

HIGHLIGHTS

Performance

Total income: **£587m** (£502m), up **17%**
 Cash generation (EBITDA): **£58m** (£36m)
 Operating surplus (EBIT): **£26m** (deficit £1m)
 Staff cost ratio: **52%** (55%)

Investment

Capital expenditure: **£23m** (£31m)
 Capital grants: **£12m** (£11m)

Liquidity and Debt

Total debt: **£210m** (£210m)
 Total cash and cash deposits: **£177m** (£137m)
 Net debt: **£33m** (£73m)

Financial Strength

Net current assets ratio: **1.6** (1.4)
 Net assets: **£432m** (£518m), down **17%**

Comparative data for the prior year 2021/22 shown in brackets throughout this review

Scope of the Financial Statements

These Financial Statements cover the University of Exeter, its subsidiary undertakings and joint ventures and have been prepared in accordance with Financial Reporting Standard 102 (FRS102) as interpreted by the 2019 edition of the *Statement of Recommended Practice: Accounting for further and higher education*.

Performance

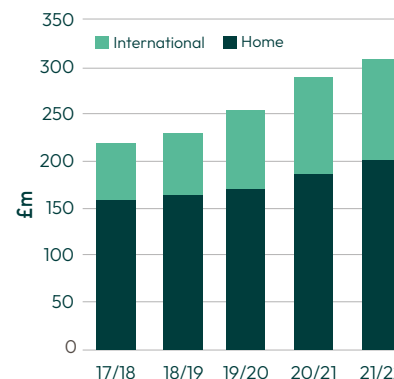
An outstandingly strong financial performance is reflected in EBITDA of £58m, driven by a 17% increase in total income, while cash balances increased by £40m, ending the year at £177m.

Yet when we set last year's budget, risks related to the global pandemic were still live, the USS pension scheme valuation for 2020 was unresolved and there was a high probability of national and local industrial action by trade unions. As a result of all of this we budgeted EBITDA of £20m. The year's financial performance, delivering EBITDA of £58m, reflects the resilience of the University, the underlying quality of demand for what we do and the commitment of our staff to deliver in challenging circumstances.

Paradoxically, while the financial statements report an outstandingly strong set of financial fundamentals this is combined with a deficit for the year of £100m. This is a result of an accounting adjustment arising from the first-time recognition of the USS pension scheme deficit recovery plan following the completion of the 2020 valuation in October 2021. Without this volatile accounting charge the surplus for the year would have been £28m. Total pensions liabilities at 31 July 2022 were £221m (£87m in 2020/21). Further detail on this is reported below under Pensions.

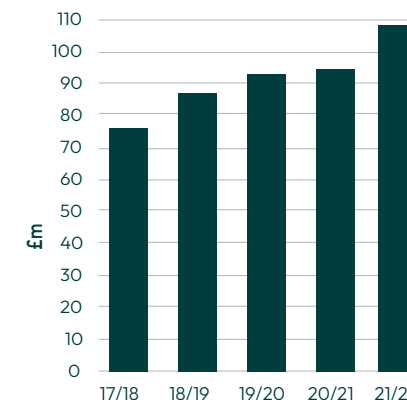
Total income of £587m increased by 17% over the year, driven by increases in international tuition fee income (+33%) and in research grants and contracts income (+13%), both of which represent key strategic activities and both of which exceeded the £100m milestone last year.

Tuition Fee Income



Student enrolments were the highest ever last year, exceeding the previous year which were then the highest ever. This is a result of a complex set of interactions. Most importantly, international tuition fee income of £114m met our budget targets, delivering growth of 33%. In 2020 home undergraduate students were admitted under a centre-assessed system, one of the consequences of which is that admissions materially exceeded our budget target in that year. Students admitted as first years in 2020 roll-through into their 2nd year in 2021/22, creating a cohort bulge with associated higher income levels. In setting admissions targets for 2021 the University aimed to compensate for this by reducing the number of offers made but the teacher-assessed system also led to admissions targets being exceeded. Adding to this complex mix is Brexit. This year was the first in which new EU-students were admitted with international fee-status whereas formerly they would have been admitted with home-fee status. While new admissions from the EU were significantly down, total income increased from this source. The net impact of all of these interactions is that tuition fee income of £204m from home and EU students exceeded budget target and increased by 5% over the year. Rebalancing our student mix for the future is a key strategic objective of the University.

Research Grants Income



We expected income from research grants and contracts to continue its strong upward trajectory, reflecting our healthy order-book of research awards and this is reflected with income of £107m, an increase of 13% over the year.

As campus activity increased following previous year lockdowns, so too income from residences, catering and conference activity increased (+48%), reflecting a return to an on-campus business as usual but also growth of our student accommodation stock with the completion of the second phase of the East Park student residences project. Our increased stock of student accommodation was operated at full occupancy in the year and we needed to nominate additional rooms in the City of Exeter, provided by private student accommodation operators, to meet our student demand.

In October 2021 we adopted Strategy 2030 and this has been accompanied by a new supporting finance strategy. Achieving a target level of EBITDA remains a necessary objective in order to fund future investment and cover our debt servicing obligations. But it is not a sufficient objective if we are also to be financially sustainable in the long-run. Cash generation, measured by EBITDA, provides the resources we have to deliver our strategy, but

Financial Review for the year ended 31 July 2022

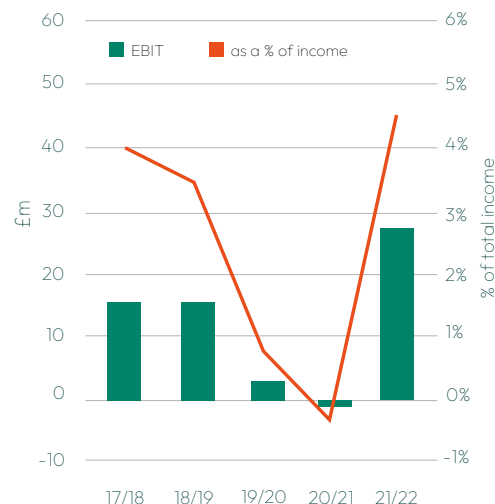
Cash Generation (EBITDA)

earnings before interest, taxation, depreciation and amortisation



Operating Surplus (EBIT)

earnings before interest and taxation



Reconciliation of EBITDA to EBIT to Deficit for the Year

Cash Generation (EBITDA)

less depreciation	(56,685)	(52,119)
less impairment	-	(488)
add student rental income from service concessions	25,390	16,106

Operating Surplus (EBIT)

less interest payable on debt	(5,565)	(5,565)
less pension accounting charges	(128,237)	(16,477)
add/(less) FX + Ltd share of surplus/(deficit)	78	(1,123)
add capital grants received	11,741	10,918
add unrealised (loss)/gains on investments	(2,570)	7,768
add surplus on endowments	1,742	40
Less exceptional one-off (charges)/receipts:	(3,688)	-

Deficit for the year (FRS102 basis)

	2021/22 £'000	2020/21 £'000
Cash Generation (EBITDA)	57,748	35,780
less depreciation	(56,685)	(52,119)
less impairment	-	(488)
add student rental income from service concessions	25,390	16,106
Operating Surplus (EBIT)	26,453	(721)
less interest payable on debt	(5,565)	(5,565)
less pension accounting charges	(128,237)	(16,477)
add/(less) FX + Ltd share of surplus/(deficit)	78	(1,123)
add capital grants received	11,741	10,918
add unrealised (loss)/gains on investments	(2,570)	7,768
add surplus on endowments	1,742	40
Less exceptional one-off (charges)/receipts:	(3,688)	-
Deficit for the year (FRS102 basis)	(100,046)	(5,160)

we must also generate a level of operating surplus, measured by EBIT, to ensure we are financially sustainable. Our new finance strategy formally starts next year, in 2022/23, with a target operating surplus of 3% of income. In 2021/22 we report an operating surplus of £26m, equating to 4.5% of total income.

The staff cost ratio, total staff costs as a % of total income, is an important indicator of efficiency (*productivity*) and risk (*virtually all our income streams are variable and earned in the market each year whereas most of our staff costs are fixed*).

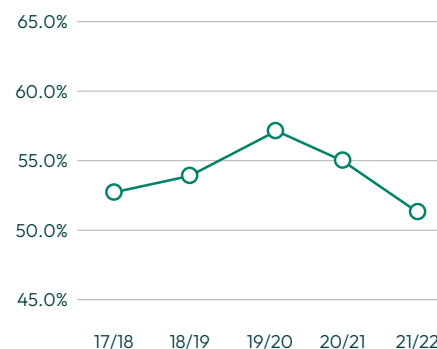
The graph to the right indicates that the ratio fell for the second consecutive year. Our financial strategy uses the staff-cost ratio as a risk indicator, setting a ceiling, rather than a target, of the upper-quartile of the Russell Group.

The last two years represent a deviation from an underlying trend of an increasing staff-cost ratio. This long-standing trend is driven by inflation on

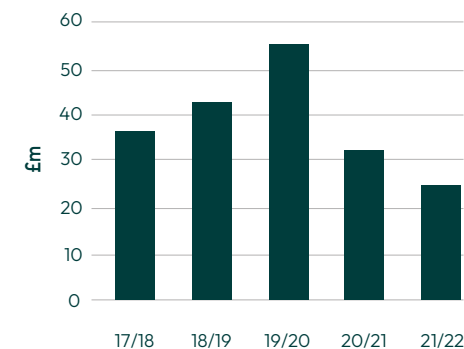
our single biggest cost (staff costs) exceeding inflation on our biggest single income stream (home undergraduate tuition fee income). The impact of the pandemic, unexpected increases in income streams, and workloads, arising from changes to A-level grade assessments, lags in the ability to *staff-up* to appropriate levels combined with newly emerging staff recruitment and retention issues in some professions and job-roles have all contributed to the fall in the ratio over the last two years. The Government have announced that the home undergraduate fee is fixed at its current £9,250 level at least until 2025 in the face of significant and immediate inflationary pressures on pay costs, meaning that we, along with the UK higher education sector, are likely to return to the long-term upward trend in coming years. This is going to require close monitoring and, if the ratio rises to unsustainable levels, corrective action.

Staff Cost Ratio

staff costs (ex pension provisions) as a % of total income



Capital Expenditure



Financial Review for the year ended 31 July 2022

Investment

The global pandemic, crystallising in a UK national lockdown in March 2020 led to the University suspending its capital strategy as a risk mitigation measure, conserving cash, protecting our ability to fund operations. Since then, Strategy 2030 has been developed, resulting in a reassessment of our future capital investment needs. This work is still underway and as a consequence capital expenditure has fallen for the second consecutive year, to £22.5m, a level that is likely to be below that required to sustain the University's needs and its growth ambitions.

Major projects delivered include facilities to support a new Engineering curriculum, along with major remedial works to the engineering building, the fit-out of a new Centre for Future Clean Mobility housed on the Exeter Science Park, completion of new academic and social space on the Penryn campus, substantial upgrades to learning spaces and a new catering outlet, the Forum Kitchen, at the heart of the Streatham campus.

Not counted in our own capital expenditure is the delivery of 582 new student bedrooms, to complete the East Park development of 1,200 new bedrooms on the Streatham campus. These rooms are delivered under a 50-year service concession arrangement, were available for the start of the 2021/22 academic year and were operated at full occupancy during the year.

Our Net Assets reduced by £86m over the year, to £432m. This was primarily due to increased valuation of pension liabilities (see below) of £124m, to stand at £211m as at 31 July 2022. Our tangible fixed assets are carried on the balance sheet at deemed cost, which is likely to materially understate their value.

Liquidity and Debt

As a result of our EBITDA performance, combined with relatively low capital investment, cash balances increased by £40m over the year to stand at £177m at balance sheet date, representing 155 liquidity days. In addition, the University holds a low-cost £50m revolving credit facility which was not utilised during the year.

Gross long-term debt remains unchanged at £210m and all lending and USS pension debt monitoring covenants were fully complied with.

Net debt reduced from £73m at the start of the year to £33m at the end of the year.

Pensions

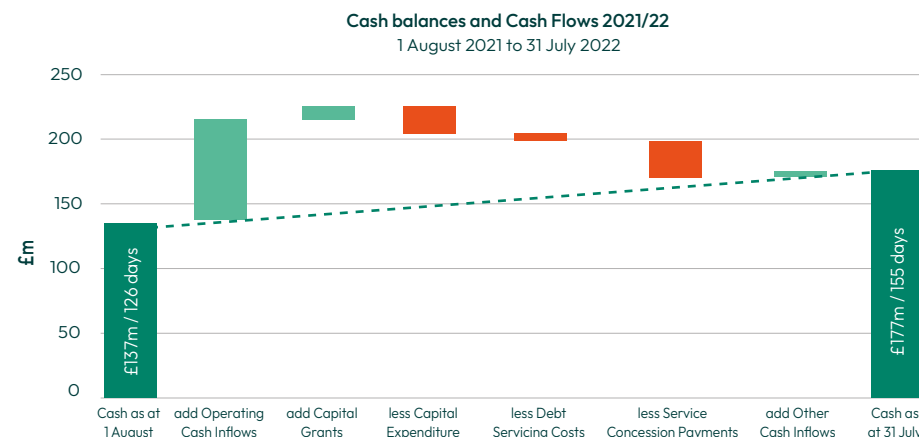
Pension liabilities total £211m (£87m in 2020/21) arise from two pension schemes.

In October 2021 the sector completed the Universities Superannuation Scheme (USS) 2020 valuation, including its deficit recovery plan. This has resulted in a substantial increase in the national scheme deficit, to £14.1 billion at March 2020, matched by a substantial increase in university deficit funding contributions that commenced in April 2022. As a multi-employer scheme, where the underlying assets and liabilities of the national scheme cannot be attributed to individual employers, the University is required to account for increased liabilities arising under the deficit recovery plan. This equates to the sum of future cash outflows for the next 16 years, discounted to present value. This is a large number and is recognised as a one-off staff cost in the Statement of Comprehensive Income, even though deficit payments are made over a 16-year period. The latest monitoring information from USS indicates that the scheme is now in surplus, so potentially, all other things being equal, we might expect a material reversal in the USS liability at its next formal scheme valuation, due to commence in March 2023.

The table below the chart illustrates how volatile USS accounting is with very material annual swings and roundabouts to its annual accounting charges or credits, and how this in turn distorts the understanding of underlying University financial performance.

The other pension scheme, the Exeter Retirement Benefit Scheme (ERBS), started the year with a scheme liability of £3.9m and ended the year with a scheme surplus, measured on an FRS102 basis.

Because the University is not entitled to the surplus, it is not recognised within our financial statements; instead we report a nil liability. However, the reality is that at its last valuation in April 2021, the scheme had an actuarial deficit of £25.1 million, which the University is funding each year by making annual deficit repayments. The cost of servicing this debt is recognised in the financial statements, even though no liability is formally reflected on the balance sheet.



	2018/19 £'000	2019/20 £'000	2020/21 £'000	2021/22 £'000
University Surplus/(Deficit) for the year reported on an FRS102 basis	(71,728)	67,089	(5,160)	(100,046)
Deduct the USS accounting charge/(credit)	87,681	(64,538)	17,865	128,191
University Surplus/(Deficit) for the year excluding USS accounting charges/(credits)	15,953	2,551	12,705	28,145

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Endowments

Markets have been volatile over the year, and this has resulted in a negative return of -3.6% for the year on our £49m portfolio. However, we hold endowments for the long-term and invest accordingly which carries increased short-term volatility risk. Since the inception of the appointment of our current fund manager (March 2019) the portfolio has delivered an annualised return of 8.5%, ahead of the 8.1% target we have set the manager to deliver.

Annualised % return	1 Year to 31 July 2022 % net fees	Inception to 31 July 2022 % net fees
University of Exeter Portfolio	-3.6%	8.5%
Target: CPI+4% (as at July 2022)	14.5%	8.1%

As important as the financial return and its contribution in supporting University activity, is the ESG (Environmental, Social and Governance) characteristics of the portfolio. Our investment policy has a strong ESG focus, requiring our fund manager to invest in entities that are considered best in class on a basket of ESG factors, as well as requiring them to engage with companies to assess and encourage improvement in their own ESG performance. The two graphs below illustrate two particular ESG characteristics of our portfolio, relating to its carbon

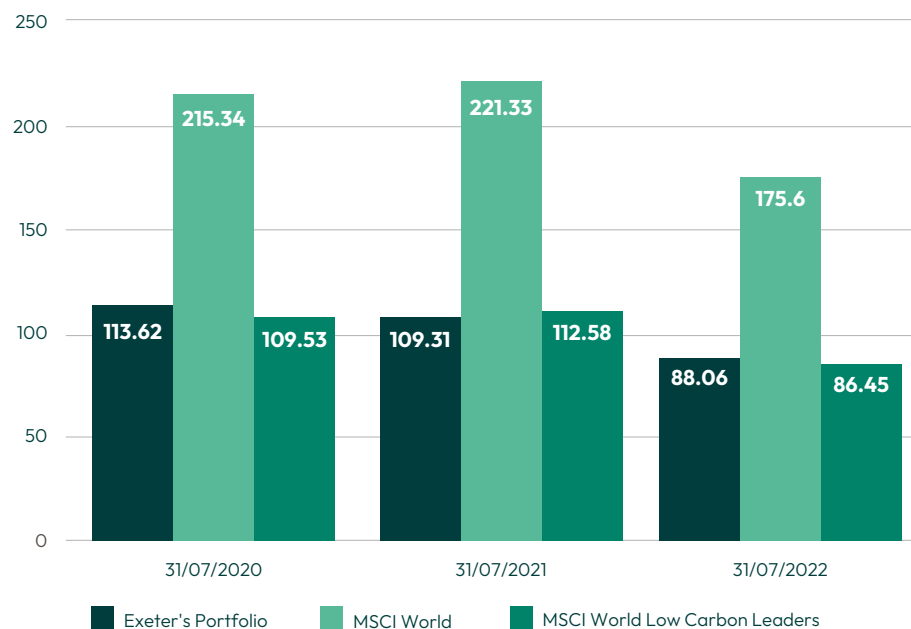
footprint and the exposure of the portfolio to contributing towards delivering climate solutions.

Future Outlook

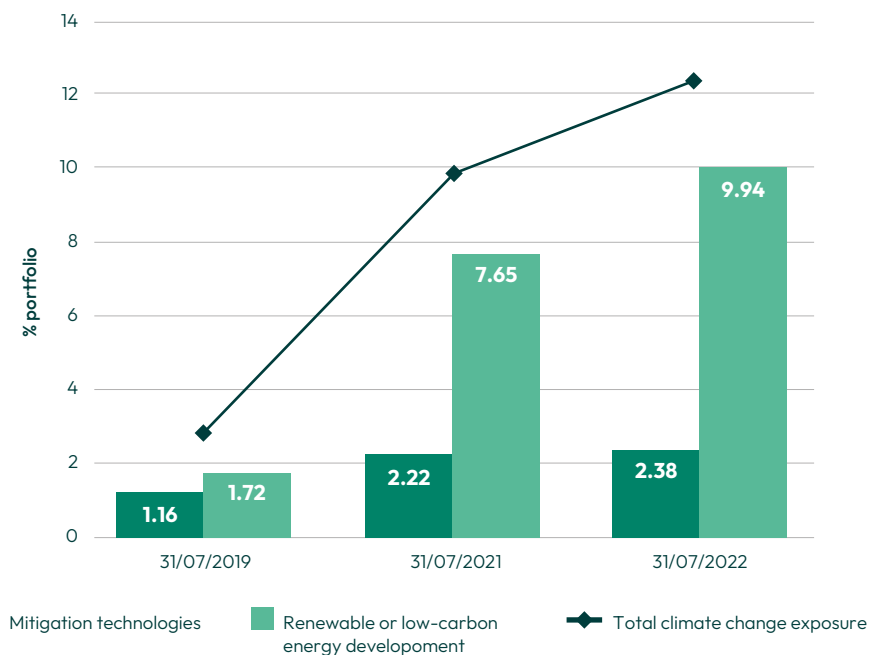
Student recruitment for 2022/23 has fallen a little short of target but mitigations have been implemented to address this.

After the 2021/22 year commenced, and as a result of the financial settlement arising from the REF2021 exercise, the University has been notified of a £10.5m

**University of Exeter Endowment Fund
Weighted Average Carbon Intensity**



**Exposure of the portfolio to contributing
towards delivering climate solutions**



Financial Review for the year ended 31 July 2022

or 41% increase in its annual quality-related research grant for 2022/23 from Research England. Similarly, after the University budget was set, it was notified of a £2.2m or 13% increase in its teaching grant from the Office for Students.

For 2022/23 the University is relatively well protected from the sharp increase in utility costs in the market as a result of proactive forward buying. Our unbudgeted cost exposure is estimated at around £2.2m in 2022/23, rising to £8m in following years if the energy market does not correct itself.

At a national level, Trade Unions have balloted for industrial action and achieved a mandate from its members for strike action or action short of a strike. Their focus is on pay and pension issues. If industrial action is taken this could have a material detrimental impact on the delivery of the student experience, although the University has well developed mitigation plans and processes to ensure impact is minimised.

Pay pressures arising from increases in the cost of living, reflected in higher pay agreements in other sectors and parts of the economy, are likely to put significant pressure on the sector to deliver a higher than budgeted pay award from August 2023, with the potential for some additional cost pressures in 2022/23 itself.

Similarly, our student body is exposed to increases in cost of living pressures. The University is responding to this with a comprehensive planned response to support students to address this challenge. For example we have already agreed to increase University funded PhD stipends by 10%, matching the level of increase offered by UKRI funded stipends.

Inflation risk in general is likely to be of manageable proportions in 2022/23. It is 2023/24 onwards that it will be more of a challenge.

Our debt is all based on fixed interest rates, so we have no exposure to rising interest rates, and should benefit from increased returns on our treasury operations managing our significant cash balances.

While our target operating surplus is 3% of turnover, Council, for 2022/23 only, agreed that as a result of a number of significant revenue investments to kick start the delivery of Strategy 2030, the budgeted operating surplus for 2022/23 is 0%. This includes investment in sustainability initiatives, in the digital strategy, in our philanthropic capacity and in core education and research activity, including initiatives to increase future income streams.

As already mentioned, the formal USS pension deficit assessed at its last valuation in March 2020 was £14.1 billion. Latest monitoring data from USS indicates the scheme is now in surplus, and although this will not impact on current University and staff funding of the scheme, it is a positive indicator for the next valuation as at March 2023, with likely results known in the Autumn of 2023 for implementation in April 2024.

Going Concern

Following an outstanding set of financial results in 2021/22, we expect to meet our budget in 2022/23, despite additional cost pressures. The financial consequence of our REF2021 submission has seen our quality-related research grant increase by £10.5m or 41%. We have also seen above-plan increases in our Office for Student teaching grant and higher education innovation fund grants.

As part of a planned strategy to re-balance our student body, in part to redress higher levels of intakes over the last two pandemic years, our offer strategy for 2022/23 was based on reducing home undergraduate admissions while increasing international admissions.

Research awards, representing the order book for current and future research grant and contract income remains strong at over £129m, the sixth successive year awards have exceeded £100m. This will convert to income over the next few years.

While the University is exposed to higher levels of pay and non-pay inflation, in particular on utilities, we are partly protected from the settlement of the August 2022 pay award and a high degree of fixed-energy prices for the next 12 months.

University debt is at a fixed rate of interest, protecting the University from recent rises in market interest rates.

The rise in interest rates, along with other factors, appears to be having a favourable impact on the valuation of pension liabilities.

Cash balances increased last year and remain high. We will materially benefit on interest receivable as a result of recent increases to interest rates.

We hold a low-cost £50m revolving credit facility, although this is unlikely to be drawn upon in the coming year, it provides additional liquidity comfort should this be needed.

The University has prepared cash flow forecasts, including consideration of downside scenarios, for the going concern period, being 12 months from the date of approval of these financial statements. The University is confident that it will be able to meet all its obligations and commitments over the going concern period, operating within our financial investor and pensions debt monitoring covenants.

Andrew Connolly

Chief Financial Officer and Director of Finance,
Infrastructure and Commercial Services

Corporate Governance and Statement of Internal Control

Legal Status of the University

The University is an incorporated body with charitable status. It is an exempt charity, meaning it is exempt from registration with the Charity Commission. The Office for Students (OfS), the regulator for higher education in England, also acts as the regulator for English higher education charities. The University is a registered higher education provider and is recorded on the OfS register of providers, currently without any additional conditions.

Governance

The articles of governance for the University are contained within its Royal Charter, Statutes and Ordinances. Under the terms of the Royal Charter, the University is required to have a supreme governing body, the Council, and a senior academic body, the Senate. Management responsibility is devolved under a scheme of delegation by Council to the Vice-Chancellor, who is supported by the University's Executive Board (UEB), details of which are given in the section on management.

Council

Council, as the governing body, is responsible for the finance, property, investments and general business of the University, and for setting the general strategic direction of the institution. It is also responsible for seeking assurance that the University is compliant with relevant regulation and legislation. There are 22 members of Council, the majority of whom are from outside the University (independent members). The members include representatives of staff and students. Council met seven times during 2021/22, including a strategic away day. There was also the annual joint meeting between the Council and the Senate. The responsibility of Council is more fully described below.

Senate

Senate, as the senior academic body, is given devolved responsibility by the Council, for student matters, academic quality and standards, and plays a key role in the development and approval of the University's education and research strategies. There are 71 members of the Senate, including members elected by the University's academic faculties and student representatives. There were seven meetings of the Senate during 2021/22 and the annual joint meeting of the Council and the Senate.

Although Senate meets regularly each academic year, much of its detailed work is delegated to committees, principally Board of Faculty of Taught Programmes, the Board of the Faculty of Graduate Research and Ethics Committee. Further information about Council and Senate Committees can be found at: www.exeter.ac.uk/about/organisation/governance/committees

Management

The principal academic and administrative officer of the University is the Vice-Chancellor, who has general responsibility to Council and Senate for maintaining and promoting the efficiency and good order of the University. The Vice-Chancellor has been nominated the accountable officer under the Terms and Conditions of Funding with the Office for Students.

As Chief Executive of the University, the Vice-Chancellor exercises considerable influence on the development of institutional strategy, the identification and planning of new developments and the shaping of the institutional ethos. Senior managers all contribute in various ways to this aspect of the work, but the ultimate responsibility for what is done rests with the Vice-Chancellor.

The University's Executive Board (UEB) is comprised of the senior management team of the University. Led by the Vice-Chancellor and Chief Executive, it includes the Provost, five Deputy Vice-Chancellors, three Pro Vice-Chancellors, the Registrar and Secretary, the Executive Divisional Director of Human Resources, the Chief Financial Officer and Executive Divisional Director of Finance, Infrastructure and Commercial Services, the Executive Divisional Director of External Engagement and Global, the Deputy Registrar and Executive Divisional Director of Education and Academic Services and the Chief Digital Officer. Details of UEB membership is given at the front of these Financial Statements.

Corporate Governance and Statement of Internal Control

Responsibilities of Council

The primary responsibilities of Council are:

1. To approve the mission and strategic vision of the University, long-term academic and business plans, key performance indicators (KPIs), annual budget and Financial Statements.
2. To appoint the Vice-Chancellor as the University's Chief Executive, and to put in place suitable arrangements for monitoring his/her performance.
3. To ensure the establishment and monitoring of systems of control and accountability, including financial and operational controls and risk assessment, and procedures for handling internal grievances and for managing conflicts of interest.
4. To ensure that there are arrangements in place for effective academic governance and the quality and standards of educational programmes.
5. To monitor and evaluate the performance and effectiveness of the University against the plans and approved key performance indicators, which should be, where possible and appropriate, benchmarked against other comparable universities.
6. To ensure compliance with the charter, statutes, ordinances and other provisions regulating the University and its governance framework.
7. To be the University's legal authority and, as such, to ensure that systems are in place for meeting all the University's legal and statutory obligations.
8. To conduct its business in accordance with best practice in higher education corporate governance and with the principles of public life drawn up by the Committee on Standards in Public Life.
9. To monitor and evaluate the performance and effectiveness of the governing body itself – including conducting a full review of Council's effectiveness not less than every five years and a parallel review of Senate's effectiveness.

Council are responsible for preparing the Annual Report and the Financial Statements in accordance with the requirements of the Office for Students' Terms and conditions of funding for higher education institutions and Research England's Terms and conditions of Research England grant and applicable law and regulations.

They are required to prepare group and parent University financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*. The terms and conditions of funding further require the financial statements to be prepared in accordance with the 2019 Statement of Recommended Practice – Accounting for Further and Higher Education, in accordance with the requirements of the Accounts Direction issued by the Office for Students. Council are required to prepare financial statements which give a true and fair view of the state of affairs of the group and parent University and of their income and expenditure, gains and losses and changes in reserves for that period.

In preparing each of the group and parent University Financial Statements, members of Council are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the Financial Statements;
- assess the group and parent University's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the group or the parent University or to cease operations, or have no realistic alternative but to do so.

Council is responsible for keeping proper accounts and proper records in relation to the accounts. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and to prevent and detect fraud and other irregularities.

Council are also responsible for ensuring that:

- funds from whatever source administered by the Group or the University for specific purposes have been properly applied to those purposes and managed in accordance with relevant legislation;
- funds provided by the Office for Students and Research England have been applied in accordance with the terms and conditions attached to them;
- ensuring that there are appropriate financial and management controls in place to safeguard public funds and funds from other sources; and
- securing the economical, efficient and effective management of the university's resources and expenditure.

Council is responsible for the maintenance and integrity of the corporate and financial information included on the University's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

The arrangements described above were in place during the period covered by this annual report, including up to the point of the annual report approval in November 2022.

Corporate Governance and Statement of Internal Control

Dual Assurance

The University's business is governed through a mechanism known as dual assurance. As its name suggests, this model involves two people. The first of these is a member of UEB, who takes responsibility for the management and development of policy in a particular area of business. The other is an independent member of Council, knowledgeable in the same area, who provides assurance to Council that this activity is well-managed and that decisions have been reached following due process

and appropriate consultation. The dual assurance mechanism is designed to minimise the number of committees, empower senior managers, speed up decision-making and make the most of the talents of independent members.

The table below shows the areas governed through dual assurance and the management and independent leads as of November 2022:

Business Area	Management Lead	Independent Lead
Digital	Chief Digital Officer	Andrew Greenway
Education and Student Experience	DVC Education / Deputy Registrar and Executive Divisional Director of Education and Academic Services	Sir Richard Atkins
Environment and Climate Emergency	Director of Sustainability	Glenn Woodcock
Human Resources & Equality, Diversity and Inclusivity	Executive Divisional Director of Human Resources	Salam Katbi Amoetsoe Mkwena
Estates	Director of Estate Services	Sarah Buck
Ethics	DVC Research and Impact	To be confirmed
Finance and Investment	Chief Financial Officer and Executive Divisional Director of Finance, Infrastructure and Commercial Services	Alison Reed
Global Advancement	Provost Registrar and Secretary	To be confirmed
Global Strategy	DVC Global Engagement	Graham Cole
Information Technology	Registrar and Secretary / Director of Exeter IT	Andrew Greenway
Innovation and Business	DVC Research and Impact	Malcolm Skingle
Marketing and Reputation	Executive Divisional Director of External Engagement and Global	Jo Binding
Research and Impact	DVC Research and Impact	Malcolm Skingle
Risk	Registrar and Secretary	To be confirmed

Statement of Internal Control

Council has responsibility for ensuring the maintenance of a sound system of internal control that supports the achievement of the University's policies, aims and objectives, while safeguarding public and other funds and assets for which it is responsible. The system of internal control is designed to manage rather than eliminate the risk of non-achievement of policies, aims and objectives; it can therefore only provide reasonable and not absolute assurance of effectiveness.

The system of internal control is based on an ongoing process designed to identify the principal risks to the achievement of the University's policies, aims and objectives, to evaluate the nature and extent of those risks and to manage them efficiently, effectively and economically. This process has been in place for the year ended 31 July 2022 and up to the date of approval of the Financial Statements.

As the governing body, Council must assure itself of the effectiveness of the University's systems of internal control. It meets at regular intervals to consider the plans and strategic direction of the institution, and receives the minutes of Audit Committee and periodic reports from the Chair of Audit Committee concerning internal control. The review of the effectiveness of the system of internal control is also informed by the work of the executive managers within the University, who have responsibility for the development, maintenance and continual review of the internal control framework.

The Audit Committee receives regular reports from internal audit, together with recommendations for improvement. The programme of internal audit work during the year has focused on our most significant risk areas and has been designed to evidence the achievement of value for money with regard to efficiency, economy and effectiveness. Price Waterhouse Coopers LLP (PWC) are our internal auditors. The Audit Committee approves the

strategic internal audit plan and receives internal audit reports from PWC at its regular meetings during the year. Where appropriate, individual audit reports are considered by other committees for information. Council receives regular reports on the progress of the audit plan from the Chair of Audit Committee. The internal auditors provide an annual report, which includes an opinion on internal control, risk and the adequacy and effectiveness of our arrangements for economy, efficiency and effectiveness. The internal auditors performed 15 audits over the year, all with management responses. One audit was classified as 'critical', two as 'high', 6 as 'medium' and 6 as 'low'. The Audit Committee track progress on completing agreed audit actions throughout the year.

In addition to the annual assurance report received from Internal Audit, the Audit Committee and Governors receive benchmarking and sector specific reports from both Internal and External Auditors to assist them in discharging their responsibility to monitor the University's performance in delivering value for money.

The University's policy towards fraud, malpractice and corruption is one of zero tolerance. The University's anti bribery and fraud policies set this out in detail, whilst the Financial Regulations set out the arrangements for reporting and responding to fraud. The anti-bribery and fraud policies are reviewed and approved by Council periodically. The main emphasis of the fraud policy is on fraud prevention, achieved through risk assessment, process design based on awareness of fraud risk, and by keeping staff informed and alert to risks. There is regular reporting of fraud and irregularities at the Audit Committee.

Corporate Governance and Statement of Internal Control

Governors and senior managers are required to ensure that their behaviour is demonstrably selfless and open and that they champion the University's policies on bribery, in particular, conflicts of interest, hospitality, travel, and gifts. These are set out in the Financial Regulations and associated policies. The Chair of the Board of Governors signs a Letter of Representation on behalf of the governing body which includes such assurances. This would include instances of bribery. These arrangements provide an ongoing process for identifying, evaluating and managing the significant risks faced by the University. The system is designed to manage, rather than eliminate, the risk of failure to achieve business objectives and can only provide a reasonable and not absolute assurance against material misstatement or loss.

The University maintains an appropriate financial regulatory framework which ensures that resources are used with due regard to propriety, regularity and value for money, in the context of the achievement of the University's strategic plan.

The University receives significant public funds in support of its activity. A high standard of financial propriety and stewardship is exercised over all monies managed by the University, its staff and its agents. Standards of financial governance and controls are codified in University Financial Regulations, issued to all budget managers and administrators, updated every year. Financial Regulations set out expected standards of behaviour, financial management responsibilities, fraud and irregularities procedures as well as stipulating key financial and internal controls. Financial Regulations were last updated by Council in July 2022.

Financial Regulations also sit alongside a comprehensive Delegation Framework, providing clear and defined limits to the delegated authority of role holders and a Whistleblowing Policy, that encourages and enables staff to report concerns over malpractice or wrongdoing. The University also has an Internal Audit function reporting to management and Audit Committee.

To enable staff to understand their financial control, stewardship and governance responsibilities a Corporate Conscience on-line training module is provided, covering awareness on fraud, money laundering, the Bribery Act, Modern Slavery Act and Criminal Finances Act.

UEB has responsibility for risk management, receiving updated risk registers from Faculties and Services, updating the corporate risk register and reporting on risk to Council throughout the year. Council and UEB are assisted in the definition and scoring of risk across the institution and the development of risk management policies by the Risk Dual Assurance Group. The work of these key groups with regard to risk is supported by the Compliance, Governance and Risk Directorate.

Responsibility for the operational management of individual corporate, college and professional services risks rests with risk owners and the risk facilitators in these areas. Risks are evaluated on their likelihood and the impact of risks becoming a reality. Key risks are escalated to Council and UEB as part of their termly reporting, or sooner through the dual assurance governing mechanism. These reports are used to inform the Corporate, Faculties and Professional Services risk registers considered

by UEB, Council and Audit Committee. This ensures that the risk information provided via the registers to UEB and Council includes business, operational, compliance and financial risk from all areas of the University.

The University uses a tolerance/appetite model of risk reporting. This approach is underpinned by four categories: risk averse, unknown risk, managed risk and risk reward. These categories have different reporting thresholds and allow management to understand tolerance of risk in a more granular and focused manner (e.g. by setting lower reporting levels for compliance risks and higher ones for strategic risks). This model has allowed the University to better understand its key risks and put in place mitigating actions in partnership with its Colleges and Professional Services. For further details on operational, compliance and financial risks please refer to the Risk section of the Annual Report.

Quentin Woodley
Chair of the Council

Higher Education Code of Governance

Council has adopted the Committee of University Chairs Higher Education Code of Governance, issued in September 2020. In accordance with the Code, the Council has adopted a Statement of Primary Responsibilities which is based on the Code's model and is adapted to reflect the powers and responsibilities derived from University Statutes.

In accordance with the Code, Council undertook a review of its effectiveness in October 2021 and produced an action plan in response to the recommendations raised. In April 2021 an internal audit was performed on University governance.

The Corporate Governance Statement and Responsibilities of the Council of the University are set out on pages 62 to 63 and were approved by Council on 8 December 2022 and signed on its behalf by:

Professor Lisa Roberts
Vice-Chancellor and Chief Executive

Report from the Chair of Audit Committee

Alongside its Terms of Reference for 2021/22, to which there was no change, the Audit Committee reviewed its twelve core objectives. Key objectives for 21/22 were to ensure that the University had a strong focus on the effective management of its finance and also that there was equal focus on the delivery of the priorities set out in the 2030 institutional strategy.

Whilst the Committee consists entirely of non-executive members, to ensure balanced representation a Pro-Vice-Chancellor and senior officers from the University regularly attended, including the Registrar and Secretary, the Chief Financial Officer and the Director of Compliance, Governance and Risk. Other senior officers are called to the Committee as and when required.

The Interim Deputy Secretary to Council acts as Secretary to the Committee.

The Committee met five times during 2021/22, including a meeting in May 2022 to review the University's financial plans.

Membership and attendance at meetings was as follows:

	Eligible to attend	Actually attended
Gerry Brown, Independent Member of Council and Chair	5	5
Graham Cole, CBE, Independent Member of Council	5	5
David Dupont, Independent External Member of Audit Committee	5	5
Simon Enoch, Independent External Member of Audit Committee	5	5
Alison Reed ACA, Independent Member of Council	5	5
Nicholas Cheffings, Independent Member of Council	5	5

The Committee agreed the plan of work for 2021/22 with PWC, the University's internal auditors, and during the year reviewed the outcome of 15 internal audit reports and also continued to ensure a strong focus on the completion of outstanding audit recommendations.

The additional meeting held in May 2022 reviewed the financial underpinning of the corporate strategy, also reviewing the related financial strategy and the Office for Students (OfS) five-year forecasts, as well as alignment with the delivery of the institutional strategic plan. Assurance was sought on the financial stability of the University, with discussion on inflation and pensions impact. The successful management of the University's finances in such a challenging operating environment was commended.

The Committee also scrutinised Cyber Insurance and the organisational restructure with deep dive sessions held over the year. The session on cyber insurance included a detailed presentation on the challenging HE cyber insurance environment from PWC. The detailed discussions on the organisational restructure were led by the Future Structures Programme Director.

The Committee received reports from its internal and external auditors on financial performance across the HE Sector and broader HE Sector developments.

During the year, a strong focus on value for money has been maintained.

The internal auditors noted that the University had taken the findings of its internal audits seriously and had focused effort to further improve the IT environment in particular. It was felt this would improve the controls and processes in place over time, which will help address the legacy issues which exist. It was also recognised that the environment was challenging, particularly in respect of the pace of change in IT and resources challenges in the area. In addition, it was recognised that the University had demonstrated an appetite to improve its cyber control environment that was, in many cases, already above that of other universities. There was seen to be clear scrutiny in this area, but it needed to continue to be monitored.

Other key areas of work have included:

- Data assurance and quality
- The Modern Slavery Act
- IT Resilience and Associated Risks
- The University's Wider Insurance Arrangements
- Research Cost Recovery
- USS Pensions
- Debt Management

The Committee was satisfied that these areas were being managed effectively. It also continued to work closely with the Risk Dual Assurance team to review risk management policies and procedures, including reviewing the risk discussions held at Council. In its Annual Report to the Vice-Chancellor, Council and the OfS for 2021/22, the Committee was of the opinion that the University had a sound framework of risk management, control and governance, value for money, and the management and quality assurance of data.

Nicholas Cheffings
Chair of Audit Committee

Reports from the Chair of Nominations Committee

The Nominations Committee is responsible for making recommendations to Council in relation to the following positions:

- The Chancellor
- The Pro-Chancellors
- The Chair of Council
- Independent Members of Council
- Members of Committees of Council and other University committees
- Dual Assurance appointments
- Appointments to Trusts associated with the University

It is also responsible for reviewing arrangements for developing future leaders of the University and for succession planning. The Committee's recommendations are informed by a skills matrix, which details the relevant skills of Council's current membership and skills sought in new appointments.

The Nominations Committee actively promotes equality and diversity in all its deliberations and appointments.

The Committee met three times in the academic year 2021/22. Membership and attendance at meetings was as follows:

	Eligible to attend	Actually attended
Sarah Turvill, Independent member and Chair of Council (Chair)	3	3
Sarah Buck OBE, Independent member of Council	3	3
Sir Richard Atkins, Independent member of Council	3	3
Professor Lisa Roberts, Vice-Chancellor	3	3
Professor Janice Kay CBE, Provost and Senior Deputy Vice-Chancellor	3	3
Mike Shore-Nye, Registrar and Secretary	3	3
Bettina Rigg, co-opted member	3	3

The Committee made the following recommendations to Council which were subsequently approved:

Council

- The appointment of Quentin Woodley as a Class I Officer (Pro-Chancellor) and Chair of Council (to 31 July 2025)
- The re-appointment for a further term of office for the following:
 - Class I – Sarah Buck – 1 August 2022–31 July 2023 for 1 year only
 - Class II – Nicholas Cheffings – 1 August 2022–31 July 2025 (second term of office)
 - Class II – Andrew Greenway – 1 August 2022–31 July 2025 (second term of office)
 - Class II – Alison Reed – 1 August 2022–31 July 2025 (third term of office)
 - Class II – Jo Binding – 1 August 2022–31 July 2025 (third term of office)
- The appointment of Malcolm Skingle as Class II Member for a three year term to 31 July 2025 (first term of office)
- The appointment of Sue Prince as a Class III Member appointed by Senate for a three year term to 31 July 2025
- The appointment of Shades Chaudhary as Class IV Member to 31 July 2024
- The appointment of Georgina Griskeviciene as Class V Officer to 31 July 2023

Committees

- The appointment of Quentin Woodley as the chair of Nominations Committee
- The reappointment of Bettina Rigg for a further three year term of office as Independent Member of Nominations Committee with effect from 1 August 2022

- The appointment of Quentin Woodley as a member of Remuneration Committee
- The appointment of Nicholas Cheffings as the chair of Audit Committee
- The reappointment of Alison Reed for a further three year term of office as Independent Member of Audit Committee with effect from 1 August 2022

Other

- The committee noted the membership of the following trusts:
 - Exeter Retirement Benefits Scheme
 - St Luke's College Foundation
 - Camborne School of Mines
 - Prideaux Trust
 - Hamlyn Trust
 - Devon Educational Trust

Dual Assurance

- The Committee proposed the following:
 - a) To join together the Human Resources and Equality, Diversity and Inclusivity portfolios with independent leads Salam Katbi and Amoetsoe Mkwena, and Management lead Imelda Rogers
 - b) Independent lead in the Research and Impact portfolio – Malcolm Skingle
 - c) Independent lead in the Innovation and Business portfolio – Malcolm Skingle

Quentin Woodley

Chair of Nominations Committee

Annual Report of Remuneration Committee

The Remuneration Committee is responsible for determining and setting the Reward Strategy of the University and for setting the remuneration of the Vice-Chancellor and other members of the University Executive Board (UEB).

The membership of the Committee is comprised entirely of independent members of Council. The Committee is chaired by a Pro-Chancellor and the Chair of Council is also a member. The Vice-Chancellor is not a member of the Committee. No member of staff is present for the discussion of their own remuneration or when the Committee makes decisions on the reward of members of the University Executive Board.

The Committee met five times during 2021/22. The attendance of members at meetings was as follows.

	Eligible to attend	Actually attended
Sir Richard Atkins	5	5
Sarah Turvill	5	5
Sarah Buck OBE	5	4
Salam Katbi	5	2
Graham Cole CBE	5	5

The Committee publishes a full annual report as recommended by the Committee of University Chairs. This is available on the Remuneration Committee section of the University [exeter.ac.uk/about/governance/managed/committees/remuneration_committee](https://www.exeter.ac.uk/about/governance/managed/committees/remuneration_committee) together with the Committee's updated Executive Reward Policy and Terms of Reference.

At the beginning of the year, the Committee reviewed the achievement of institutional targets and personal objectives for the 2020/21 financial year. Taking account of these assessments, the Committee made decisions on the level of performance related reward which should be paid under the Executive Performance Reward Scheme to recognise the achievement of personal and institutional objectives in 2020/21. These decisions also took account of the agreement with members of UEB that the maximum award for 2020/21 should be reduced from 20% to 10% to take account of the impact of the Coronavirus pandemic on the University's operations and finances.

The Committee also agreed its annual report for 2020/21 and its schedule of work for 2021/22.

During the year, the Committee reviewed the implementation of changes to the University's executive reward arrangements which the Committee had agreed following the external review commissioned in 2021. Amendments to the Executive Reward Policy and Executive Performance Reward Scheme were agreed for implementation from the beginning of the University's 2022/23 year.

The Committee also reviewed the updated Committee for University Chairs' HE Senior Staff Remuneration Code and assessed the University's practices against the recommendations of the Code.

The Committee received a report on external work undertaken by senior executives in 2021/22.

The Committee reviewed the base salaries of members of the University Executive Board. Taking account of market data, affordability, performance and the amended responsibilities of some executive roles under the Future Structures Programme. The Committee agreed increases, effective from August 2022, for a number of members of UEB, including the Vice-Chancellor, (Further information on the reward arrangements for the Vice-Chancellor are given in the Staff Costs section of the Financial Statements on page 81.) These decisions increased the pay bill of UEB by 2.2%.

At its first meeting in the autumn term 2022, the Committee reviewed the achievement of the institutional targets and personal objectives for members of the University Executive Board which had been agreed for 2021/22. Taking account of these assessments the Committee made decisions on the performance rewards which should be paid under the Executive Performance Reward Scheme to recognise the achievement of these institutional and personal objectives.

Further information about the Executive Performance Reward Scheme is provided in the Committee's annual report available on the Remuneration Committee section of the University website.

Sir Richard Atkins

Chair of the Remuneration Committee

Fundraising Standards

In line with the Charities (Protection and Social Investment) Act 2016, the University is required to provide information about fundraising activities for the University and Exeter University Foundation (the Foundation).

The University of Exeter employs a team of professional fundraisers, as well as a number of student telephone fundraisers, to raise new funds through a variety of methods, namely: legacy fundraising, major gift fundraising from individuals, fundraising from charitable trusts, foundations and other organisations, and low level fundraising requests made via telephone, email, mail, or crowdfunding. The University takes a long-term approach to fundraising, taking time to develop relationships with potential donors and then carefully stewarding existing donors. The University seeks to engage all alumni, whether they choose to donate or not, and is keen to maintain mutually beneficial relationships with all its stakeholders.

The University is careful to ensure that its approach to fundraising protects vulnerable people and other members of the public from unreasonable intrusion, persistent approaches or from placing undue pressure on a person to give money or other property.

- The University provides regular opportunities for all alumni and other individuals being solicited to opt out of all or some of a variety of fundraising approaches. These preferences are accurately recorded on the central database and are reflected in data selections for specific appeals.
- The University of Exeter does not actively fundraise from individuals over the age of 80 by telephone or over the age of 83 for postal or e-appeals, where age is known or suspected. Donors over the age of 80 are informed of the impact of their existing donations by post and phone, but are not asked to increase their donations.
- All contactable alumni, regardless of age, receive generic communications from the University, updating them about the University's activities and progress, including the impact of previous donations. These communications may include details of how to support the University.
- The University does not solicit donations from each individual more than once per year over the telephone or more than four times per year through direct mail.

All fundraising staff are trained to ensure that no undue pressure is placed on potential donors. The University takes a life-long approach to relationships with alumni and others and does not want to impede those relationships by pressuring individuals to make donations.

Activities carried out by fundraisers are monitored through standard University procedures surrounding Performance Development Reviews. All fundraising activity is recorded on a central database.

The University is registered with the Fundraising Regulator which is the independent regulator of charitable fundraising in England, Wales and Northern Ireland. More details about the Fundraising Regulator and the Code of Fundraising Practice can be found online: www.fundraisingregulator.org.uk

The University received no complaints about its fundraising activities for the year to 31 July 2022.

Independent Auditor's Report to Council of University of Exeter

Report on the audit of the financial statements

Opinion

We have audited the financial statements of the University of Exeter ("the University") for the year ended 31 July 2022 which comprise the Consolidated and University Statement of Comprehensive Income and Expenditure, Consolidated and University Statement of Changes in Reserves, Consolidated and University Statement of Financial Position, Consolidated Statement of Cash Flows and related notes, including the accounting policies in Note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Group's and of the University's affairs as at 31 July 2022, and of the Group's and of the University's income and expenditure, gains and losses and changes in reserves, and of the Group's cash flows, for the year then ended; and
- have been properly prepared in accordance with UK accounting standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Group in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The Council has prepared the financial statements on the going concern basis as it does not intend to liquidate the Group or the University or to cease their operations, and as it has concluded that the Group and the University's financial position means that this is realistic. It has also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the Council conclusions, we considered the inherent risks to the Group's business model and analysed how those risks might affect the Group and University's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the Council's use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the Council's assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Group or the University's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Group or the University will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of management, the Audit & Risk Committee, internal audit and inspection of policy documentation as to the Group's high-level policies and procedures to prevent and detect fraud, including the internal audit function, and the Group's channel for "whistleblowing", as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board and Audit & Risk Committee minutes.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, and taking into account possible pressures to meet loan covenants, we perform procedures to address the risk of management override of controls and the risk of fraudulent revenue recognition, in particular the risk that income from research income is not recognised in accordance with the relevant with grant terms and conditions and the risk that Group management may be in a position to make inappropriate accounting entries.

We did not identify any additional fraud risks.

In determining the audit procedures we took into account the results of our evaluation and testing of the operating effectiveness of some of the Group-wide fraud risk management controls.

We also performed procedures including:

- Identifying and testing journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual postings to revenue, cash or borrowing accounts, postings to accounts that contain significant estimates and period-end adjustments, those with specific comments, and unbalanced journal entries.
- Verifying research income recognised is appropriate based on the underlying grant agreement and corresponding research expenditure.

Independent Auditor's Report to Council of University of Exeter

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards), and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Group is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related higher education legislation), taxation legislation, pensions legislation and higher education financial reporting related regulation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Group is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation or the loss of the Group's license to operate. We identified health and safety, data protection laws, employment law, and compliance with regulatory requirements of the Office for Students as those most likely to have such an effect, recognising the nature of the Group's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

We have reported separately on the University's use of funds in the section of our audit report dealing with other legal and regulatory requirements.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Other information

The Council is responsible for the other information, which comprises the Strategic Review and the Report of the Council and Corporate Governance Statement. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work, we have not identified material misstatements in the other information.

Council responsibilities

As explained more fully in its statement set out on page 62, the Council is responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as it determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Group and parent University's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless it either intends to liquidate the Group or the parent University or to cease operations, or has no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at:

www.frc.org.uk/auditorsresponsibilities

Independent Auditor's Report to Council of University of Exeter

Report on other legal and regulatory requirements

We are required to report on the following matters by the Accounts Direction dated 25 October 2019 issued by the Office for Students ('the Accounts Direction').

In our opinion, in all material respects:

- funds from whatever source administered by the Group or the University for specific purposes have been properly applied to those purposes and managed in accordance with relevant legislation;
- funds provided by the Office for Students, UK Research and Innovation (including Research England), the Education and Skills Funding Agency and the Department for Education have been applied in accordance with the relevant terms and conditions; and
- the financial statements meet the requirements of the Accounts Direction dated 25 October 2019 issued by the Office for Students.

Matters on which we are required to report by exception

We are required by the Accounts Direction to report to you where the University has an access and participation plan that has been approved by the Office for Students' director of fair access and participation and the results of our audit work indicate that the Group's and the University's expenditure on access and participation activities for the financial year disclosed in Note 10 has been materially misstated.

We are also required by the Accounts Direction to report to you where the results of our audit work indicate that the Group's and the University's grant and fee income, as disclosed in note 4 to the financial statements has been materially misstated.

We have nothing to report in these respects.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Council in accordance with the Group's Statutes. Our audit work has been undertaken so that we might state to the Council those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the University and the Council for our audit work, for this report, or for the opinions we have formed.

Rees Batley
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
 66 Queen Square
 Bristol
 BS1 4BE

8 December 2022

Principal Accounting Policies

Basis of Preparation

The University and Consolidated financial statements have been prepared in accordance with United Kingdom Accounting Standards, including Financial Reporting Standard 102 (FRS102) and the Statement of Recommended Practice (SORP): Accounting for Further and Higher Education (2019 edition). They have also been prepared in accordance with Accounts Direction issued by the Office for Students (OfS), the Terms and Conditions of funding for higher education institutions issued by the Office for Students, and the Terms and Conditions of Research England Grant. The Financial Statements are prepared in accordance with the historical cost convention except for the revaluation of heritage assets, investment property, endowment assets and pensions.

The University is a public benefit entity and therefore has applied the relevant public benefit entity requirements of FRS102.

Going concern

The University has prepared cash flow forecasts, including consideration of downside scenarios, for the going concern period, being 12 months from the date of approval of these financial statements. The University is confident that it will be able to meet all its obligations and commitments over the going concern period, operating within our financial investor and pensions debt monitoring covenants. These financial statements therefore have been prepared on a going concern basis. See the last section of Financial Review for more details.

Basis of Consolidation

The results of the University's subsidiary undertakings and undertakings in which it has a controlling interest for the financial year ended 31 July 2022, have been consolidated in the Financial Statements. Details of these subsidiaries are provided in Note 15.

Jointly controlled entities are accounted for using the equity method. The University's share of income and expenditure in joint venture entities is recognised in the Statement of Comprehensive Income for the group. The University's share of assets and liabilities in joint venture entities are recognised in the consolidated Statement of Financial Position. Details of these joint ventures are provided in Note 16.

The consolidated Financial Statements do not include the income and expenditure of the University of Exeter Students' Guild and the Students' Union in Penryn, as the University does not exert dominant or significant influence over their activities.

Recognition of Income

Recurrent grants and tuition fees

Recurrent grants from funding bodies represent the funding allocations, which are attributable to the current financial year and are credited directly to the Statement of Comprehensive Income.

Tuition fees represent all fees chargeable to students or their sponsors, received and receivable, which are attributable to the current accounting period, net of discounts. The cost of any fees waived by the University is deducted from tuition fee income. Bursaries and scholarships are accounted for gross as expenditure and not deducted from income.

Grant funding

Grant funding, including funding council grants, research grants from government sources and grants (including research grants) from non-government sources are recognised when the University is entitled to the income and performance related conditions have been met. If no performance conditions exist, income is recognised on entitlement. Income received in advance of performance related conditions being met is recognised as deferred income within creditors on the Statement of Financial Position and released to income, when the conditions are met.

Capital grants are recognised within income when the University is entitled to the funds, subject to any performance related conditions being met.

Donations and endowments

There are four main types of donations and endowments identified within reserves:

1. Restricted donations – the donor has specified that the donation must be used for a particular objective.
2. Unrestricted permanent endowments – the donor has specified that the fund is to be permanently invested to generate an income stream for the general benefit of the University.
3. Restricted permanent endowments – the donor has specified that the fund is to be permanently invested to generate an income stream to be applied to a particular objective.
4. Restricted expendable endowments – the donor has specified a particular objective other than the purchase or construction of tangible fixed assets, and the University has the power to use generated income as well as the capital.

Donations and endowments with donor imposed restrictions are recognised in income when the University is entitled to the funds. Income is retained within the restricted reserve until such time that it is utilised in line with the restrictions, at which point the income is released to general reserves through a reserve transfer. Donations without restrictions are recognised in income when the University is entitled to the funds.

Gifts in kind are included in donations using a reasonable estimate of their gross value or the amount realised.

Other income

All income from short-term deposits is credited to the Statement of Comprehensive Income in the period in which it is earned.

Investment income is included in full in the Statement of Comprehensive Income. Income from endowment assets held for restricted purposes imposed by the donor or funder is recognised in line with the conditions attached to the University's right to the investment income.

The University acts as an agent in the collection and payment of hardship funds and training bursaries from the funding bodies. Related receipts from the Department for Education and Teaching Regulation Agency (DETRA) and subsequent disbursement to students are excluded from the Statement of Comprehensive Income. Details of transactions in the year are provided in Note 31.

Income within the University's subsidiary companies represents the fair value of consideration receivable, excluding Value Added Tax, in the ordinary course of that Company's business for goods and services provided. In respect of long-term contracts and contracts for ongoing services, income represents the value of work done in the year, including estimates of amounts not invoiced. Income in respect of long-term contracts for ongoing services is recognised by reference to the stage of completion.

Principal Accounting Policies

Accounting for retirement benefits

The two principal pension schemes for University staff are the Universities Superannuation Scheme (USS) and the University of Exeter Retirement Savings Scheme (ERSS). A third scheme, the University of Exeter Retirement Benefit Scheme (ERBS) was closed to future accrual in November 2016.

The USS is a multi-employer hybrid scheme, offering a mix of defined benefits as well as defined contribution benefits. The assets of the scheme are held in a separate trustee-administered fund. Because of the mutual nature of the scheme, the assets are not attributed to individual institutions and a scheme-wide contribution rate is set. The University is therefore exposed to actuarial risks associated with other providers' employees and is unable to identify its share of the underlying assets and liabilities of the scheme on a consistent and reasonable basis. As required by section 28 of FRS 102 "Employee benefits", the University therefore accounts for the scheme as if it were a defined contribution scheme. As a result, the amount charged to the Statement of Comprehensive Income represents the discounted fair value of the contractual contributions payable to the scheme. Since the University has entered into an agreement that determines how each employer within the scheme will fund the scheme's overall deficit, the University therefore recognises its share of the liability for deficit contributions payable and resulting expense in profit and loss. Contractual contributions are recognised through staff costs in the Statement of Comprehensive Income. The scheme is revalued periodically by professionally qualified independent actuaries.

ERSS is a defined contribution scheme, which opened in December 2016. The University pays fixed contributions to the fund that are recognised within staff costs.

ERBS, a defined benefit scheme, was closed to future accrual in November 2016. The Group's net obligation in respect of defined benefit pension plans is calculated annually by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods. That future benefit is then discounted, to determine its present value, and compared to the fair value of scheme's assets valued at bid price. Movement in the scheme's net value is recognised through staff costs in income and expenditure account.

Further information on pension schemes and post-retirement benefits are disclosed in Note 28.

Employment benefits

Short term employment benefits such as salaries and compensated absences are recognised as an expense in the year in which the employees render service to the University. Any unused benefits, such as holiday entitlements, are accrued and measured as the additional amount the University expects to pay as a result of the unused entitlement.

Finance leases

Leases in which the University assumes substantially all the risks and rewards of ownership of the leased asset are classified as finance leases. Leased assets acquired by way of a finance lease and the corresponding lease liabilities are initially recognised at an amount equal to the lower of their fair value and the present value of the minimum lease payments at inception of the lease.

Minimum lease payments are apportioned between the finance charge and the reduction of the outstanding liability. The finance charge is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Service concession arrangements

A service concession arrangement is an arrangement whereby University contracts with a private operator to develop, operate and maintain an infrastructure asset. The University regulates services the operator can provide managing the asset, to whom, and at what price, and also controls any significant residual interest in the asset at the end of the term of the arrangement.

Fixed assets held under service concession arrangements are recognised on the Statement of Financial Position at the present value of the minimum lease payments when the assets are brought into use, with a corresponding financial liability.

Payments under the service concession arrangement are allocated between service costs, finance charges and financial liability repayments to reduce the financial liability to nil over the life of the arrangement.

Operating leases

Costs in respect of operating leases are charged on a straight-line basis over the lease term. Any lease premiums or incentives are spread over the minimum lease term.

Foreign currencies

Transactions denominated in foreign currencies are recorded at the rate of exchange ruling at the date of the transactions. Monetary assets and liabilities denominated in foreign currencies at the Statement of Financial Position date are translated into sterling at the foreign exchange rate ruling at that date. Resulting exchange differences arising on translation are recognised in the Statement of Comprehensive Income.

Taxation

The University is an exempt charity within the meaning of Part 3 of the Charities Act 2011. It is therefore a charity within the meaning of Paragraph 1 of Schedule 6 to the Finance Act 2010 and it meets the definition of a charitable company for UK corporation tax purposes. Accordingly, the University is potentially exempt from taxation in respect of income or capital gains received within categories covered by section 478-488 of the Corporation Tax Act 2010 (CTA 2010) or section 256 of the Taxation of Chargeable Gains Act 1992, to the extent that such income or gains are applied to exclusively charitable purposes.

The University receives no similar exemption in respect of Value Added Tax (VAT). Irrecoverable VAT on inputs is included in the costs of goods and services purchased. Any irrecoverable VAT allocated to fixed assets is included in their cost.

The University's subsidiary companies are subject to Corporation Tax and VAT in the same way as any other commercial organisation.

Tangible and intangible assets

Non-current tangible and intangible assets are stated at cost less accumulated depreciation/ amortisation and accumulated impairment losses. Land and buildings that had been revalued to fair value on or prior to the date of transition to the SORP 2015, are measured on the basis of deemed cost, being the revalued amount at the date of that revaluation.

Where parts of a fixed asset have different useful lives, they are accounted for as separate items of fixed assets, in line with component accounting.

Principal Accounting Policies

Capitalisation

Tangible and intangible assets are capitalised where they are capable of being used for a period that exceeds one year and satisfying the following criteria:

- Individually have a cost greater than £25,000; or
- Collectively have a cost equal to or greater than £25,000 where the assets are functionally interdependent or are purchased together and intended to be used as a group under common management control; or
- Irrespective of their individual cost, form part of the initial equipping of a new building.

The University has a five-year rolling long-term maintenance plan, which forms the basis of the on-going maintenance of the estate. Expenditure on long term maintenance which does not either enhance an asset beyond its original condition or increase its expected economic life, and expenditure on all routine corrective maintenance, is charged to the Statement of Comprehensive Income as incurred. Major replacement and refurbishment work is capitalised if the work creates or enhances an existing asset, or improves or substantially overhauls an asset. Finance costs directly attributable to the construction of land and buildings are capitalised as part of the cost of those assets.

Intangible assets held by the University relate to software and goodwill.

Goodwill represents the excess of consideration over the net assets acquired. Goodwill is amortised over its useful life which shall not exceed 10 years if a reliable estimate of the useful life cannot be made.

Heritage assets

Heritage assets are capitalised and recognised at the cost or value of the acquisition, where such cost or valuation is reasonably obtainable. Where reliable estimates of cost or value are not available on a cost-benefit basis, these assets are omitted from the Financial Statements. Heritage assets are not depreciated as their long economic life and high residual value mean that any depreciation would not be material.

Heritage assets are valued at fair value by independent valuation agents every 3 years with a physical inspection occurring every 5 years.

Any costs of maintaining and displaying the collection are reported in the Statement of Comprehensive Income in the year when they are incurred.

Depreciation / Amortisation

Depreciation is charged in the year of acquisition and no depreciation is charged in the year of disposal, with the exception of research equipment which is depreciated monthly on a straight line basis. All depreciation is calculated on a straight line basis as follows:

Freehold land	Not depreciated
Freehold buildings	Over their expected remaining useful lives, subject to a maximum of 50 years
Leasehold buildings	Over the shorter of the lease term and the expected useful lives, subject to a maximum of 50 years
Assets under construction	Not depreciated
Assets held for sale	Not depreciated
Infrastructure	Over their expected remaining useful lives, subject to a maximum of 50 years
Computer equipment and IT infrastructure	Over its expected useful life between 4 to 8 years
Intangible assets / software	Over its expected useful life between 3 to 5 years
Other equipment	Over its expected useful life between 3 to 8 years

Building works that are greater than £150,000 are analysed into the following components:

Component	Life
Building shell	40-60 years
Mechanical and engineering services	10-30 years
Fit out	20-25 years

Principal Accounting Policies

Investment property

Investment property is land and buildings held for rental income or capital appreciation rather than for use in delivering services. Rental properties held primarily for the provision of social benefits (e.g. student residences) are accounted for as tangible fixed assets rather than Investment Property, in accordance with FRS 102.

Investment properties are measured initially at cost and subsequently at fair value with movements recognised in the Surplus or Deficit. Properties are not depreciated but are revalued or reviewed annually according to market conditions as at 31 July each year.

Investments

Non-current investments are held on the Statement of Financial Position at amortised cost less impairment. Current asset investments are included on the Statement of Financial Position at fair value. Increases/decreases in value arising on the revaluation of fixed asset investments are recognised in the Surplus or Deficit.

In the Financial Statements of the University the investments in subsidiary undertakings are included in the Statement of Financial Position at cost.

Stock

Stock is shown at the lower of cost and net realisable value and is measured using a first in first out formula. Where necessary, provision is made for obsolete, slow-moving and defective stocks. Stocks of consumables held for administration purposes are not valued.

Cash and cash equivalents

Cash includes cash in hand, deposits repayable on demand and overdrafts. Deposits are repayable on demand if they are in practice available within 24 hours without penalty.

Cash equivalents are short term, highly liquid investments that are readily convertible to known amounts of cash with insignificant risk of change in value.

The current investment assets held by the University are deposits with banks and building societies with maturity between three and twelve months at the date of acquisition. These are held at cost.

The Statement of Cash Flows included in the financial statements is for the group. We have taken advantage of an exemption not to show the Statement of Cash flows for the University, permitted under the SORP Section 3.3.

Financial instruments

A financial instrument is a contract that gives rise to a financial asset in one entity and a financial liability or equity instrument in another. Financial assets and financial liabilities are recognised when the University becomes a party to the contractual provisions of the instrument.

The provisions of both section 11 and 12 of FRS102 are applied in full. Basic financial instruments are held at amortised cost using the effective interest method or cost and are subject to an annual impairment review.

Complex financial instruments are held at fair value, with changes in the fair value taken directly to the Statement of Comprehensive Income, except where hedge accounting is applied.

Provisions, contingent liabilities and contingent assets

Provisions are recognised in the Financial Statements when:

- the University has a present obligation (legal or constructive) as a result of a past event;
- it is probable that a transfer of economic benefits will be required to settle the obligation; and
- reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

A contingent liability arises from a past event that gives the University a possible obligation whose existence will only be confirmed by the occurrence or otherwise of uncertain future events not wholly within the control of the University. Contingent liabilities also arise in circumstances where a provision would otherwise be made but either it is not probable that an outflow of resources will be required or the amount of the obligation cannot be measured reliably.

A contingent asset arises where an event has taken place that gives the University a possible asset whose existence will only be confirmed by the occurrence or otherwise of uncertain future events not wholly within the control of the University.

Contingent assets and liabilities are not recognised in the Statement of Financial Position but are disclosed in the notes when required.

Reserves

Reserves are classified as restricted or unrestricted. Restricted endowment reserves include balances which, through endowment to the University, are held as a permanently restricted fund which the University must hold in perpetuity.

Other restricted reserves include balances where the donor has designated a specific purpose and therefore the University is restricted in the use of these funds.

Key Estimates and Judgements

Key sources of estimation uncertainty

The preparation of the University's Financial Statements required management to make judgement, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses. These judgements, estimates and associated assumptions are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The resulting accounting estimates may differ significantly to the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

Pensions – USS

USS is a multi-employer scheme consisting of members not under common control, whereby the liabilities of the scheme cannot be separately attributable to individual Universities / employers. The University has an obligation to fund the deficit recovery plan, and this liability is recognised as a pensions provision, calculated as the discounted fair value of the contractual contributions payable under the recovery plan in existence at the Statement of Financial Position date. The resulting expense charged through the profit and loss accounts in accordance with section 28 of FRS 102.

Assumptions used to calculate the scheme liability in the current financial year and the sensitivity of the principal assumptions used to measure the USS deficit provision are disclosed in Note 28.

Pensions – ERBS

FRS 102 requires that certain assumptions are made in order to determine the amount to be recorded for retirement benefit obligations and pension plan assets, in particular for defined benefit plans. These are mainly actuarial assumptions such as expected inflation rates, expected return on plan assets and discount rates. Substantial changes in the assumed development of any one of these variables may significantly change the University's retirement benefit obligation and pension assets/liabilities. Assumptions used in the current financial year are detailed in Note 28.

Useful economic lives of tangible assets

The annual depreciation charge for tangible assets is sensitive to changes in the estimated useful economic lives of the assets so these are re-assessed annually and amended when necessary to reflect current estimates. See Note 12 for the carrying amount of fixed assets, and the tangible assets accounting policy for the useful economic lives for each class of assets.

Critical accounting judgements in applying the University's accounting policies

There are no such judgements in either the current or prior year.



Consolidated and University Statement of Comprehensive Income

Year ended 31 July 2022

		GROUP		UNIVERSITY	
		Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
	Notes				
INCOME					
Tuition fees and education contracts	1	326,635	287,491	326,635	287,491
Funding body grants	2	62,756	59,416	62,756	59,416
Research grants and contracts	3	106,765	94,618	106,765	94,618
Other income	4	83,725	56,287	83,667	56,074
Investment income	5	1,440	1,145	1,439	1,138
Endowments and donations	6	5,603	2,615	6,676	4,392
Total income		586,924	501,572	587,938	503,129
EXPENDITURE					
Staff costs	7	307,118	277,971	307,118	277,971
Staff costs – movement on USS	7	131,817	20,731	131,817	20,731
Operating expenses	8	181,148	154,216	181,074	154,101
Depreciation and amortisation	9	59,054	53,266	59,054	53,266
Impairment charge	9	-	488	-	488
Interest and other finance costs	10	6,331	6,243	6,331	6,243
Total expenditure		685,468	512,915	685,394	512,800
Deficit before other gains/(losses) and share of operating surplus in joint ventures		(98,544)	(11,343)	(97,456)	(9,671)
(Loss)/gain on investments	15	(2,570)	7,768	(2,570)	7,768
Share of operating surplus/(deficit) in joint venture	16	1,068	(1,585)	-	-
Deficit for the year		(100,046)	(5,160)	(100,026)	(1,903)
Revaluation gain on heritage assets	13	156	-	156	-
Actuarial gain in respect of pension schemes	28	13,227	8,310	1,983	10,073
Total comprehensive (deficit)/income		(86,663)	3,150	(97,887)	8,170
Represented by:					
Endowment comprehensive (loss)/income for the year	23	(853)	8,065	(853)	8,065
Restricted comprehensive income/(expenditure) for the year		80	(41)	80	(41)
Unrestricted comprehensive (expenditure)/income for the year	24	(86,132)	(4,358)	(97,356)	402
Revaluation reserve comprehensive gain/(loss) for the year	25	242	(516)	242	(256)
		(86,663)	3,150	(97,887)	8,170

All items of income and expenditure relate to continuing activities. The accompanying notes form part of these financial statements.

Consolidated and University Statement of Changes in Reserves

Year ended 31 July 2022

GROUP	Endowment Reserve £'000	Restricted Income and Expenditure £'000	Unrestricted Income and Expenditure £'000	Revaluation Reserve £'000	Total £'000
Balance at 1 August 2020	41,482	83	450,561	22,539	514,665
Surplus/(deficit) from the Statement of Comprehensive Income	8,065	(41)	(12,928)	(256)	(5,160)
Other comprehensive income	-	-	8,310	-	8,310
Transfers between revaluation and income and expenditure reserve	-	-	260	(260)	-
Total comprehensive income/(expenditure)	8,065	(41)	(4,358)	(516)	3,150
Balance at 1 August 2021	49,547	42	446,203	22,023	517,815
(Deficit)/surplus from the Statement of Comprehensive Income	(853)	80	(99,359)	86	(100,046)
Other comprehensive income	-	-	13,227	156	13,383
Total comprehensive income/(expenditure)	(853)	80	(86,132)	242	(86,663)
Balance at 31 July 2022	48,694	122	360,071	22,265	431,152

UNIVERSITY	Endowment Reserve £'000	Restricted Income and Expenditure £'000	Unrestricted Income and Expenditure £'000	Revaluation Reserve £'000	Total £'000
Balance at 1 August 2020	41,482	83	454,565	9,196	505,326
Surplus/(deficit) from Statement of Comprehensive Income	8,065	(41)	(9,671)	(256)	(1,903)
Other comprehensive expenditure	-	-	10,073	-	10,073
Total comprehensive income/(expenditure)	8,065	(41)	402	(256)	8,170
Balance at 1 August 2021	49,547	42	454,967	8,940	513,496
(Deficit)/surplus from the Statement of Comprehensive Income	(853)	80	(99,339)	86	(100,026)
Other comprehensive income	-	-	1,983	156	2,139
Total comprehensive income/(expenditure)	(853)	80	(97,356)	242	(97,887)
Balance at 31 July 2022	48,694	122	357,611	9,182	415,609

The accompanying notes form part of these financial statements.

Consolidated and University Statement of Financial Position

Year ended 31 July 2022

	Notes	GROUP		UNIVERSITY	
		Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Non-current assets					
Intangible assets	11	7,751	6,733	7,751	6,733
Tangible fixed assets	12	730,165	742,923	730,165	742,923
Heritage assets	13	9,245	9,088	9,245	9,088
Investments	15	48,799	48,429	49,009	48,631
Investment in joint venture	16	15,462	5,099	-	-
		811,422	812,272	796,170	807,375
Current assets					
Stock		616	617	616	617
Receivables	17	92,758	79,620	92,764	80,704
Investments	18	39,823	10,251	39,823	10,251
Cash and cash equivalents		137,035	126,546	136,731	125,671
		270,232	217,034	269,934	217,243
Less: Creditors: amounts falling due within one year	19	(173,125)	(158,403)	(173,118)	(158,034)
Net current assets		97,107	58,631	96,816	59,209
Total assets less current liabilities		908,529	870,903	892,986	866,584
Creditors: amounts falling due after more than one year	20	(262,790)	(264,049)	(262,790)	(264,049)
Provisions					
Pension provisions	28, 29	(210,930)	(86,639)	(210,930)	(86,639)
Other provisions	29	(3,657)	(2,400)	(3,657)	(2,400)
Total net assets		431,152	517,815	415,609	513,496
Restricted Reserves					
Endowment reserve	23	48,694	49,547	48,694	49,547
Income and expenditure reserve		122	42	122	42
Unrestricted Reserves					
Income and expenditure reserve	24	360,071	446,203	357,611	454,967
Revaluation reserve	25	22,265	22,023	9,182	8,940
Total Reserves		431,152	517,815	415,609	513,496

The accompanying notes form part of these financial statements. The Financial Statements on page 78 to 113 were approved by Council on 8 December 2022 and were signed on its behalf by:

Professor Lisa Roberts
Vice-Chancellor and Chief Executive

Quentin Woodley
Chair of Council

Andrew Connolly
Chief Financial Officer and Director of Finance,
Infrastructure and Commercial Services

Consolidated Statement of Cash Flows

Year ended 31 July 2022

	Notes	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Cash flow from operating activities			
Deficit for the year		(100,046)	(5,160)
Adjustment for non-cash items			
Depreciation and impairment	12	56,513	50,366
Amortisation of intangibles	11	2,541	3,388
Loss/(gain) on investments	15	2,570	(7,768)
Decrease in stock		1	39
(Increase)/decrease in debtors		(9,085)	2,298
Increase in creditors		12,260	16,107
Increase in provisions before actuarial gains/losses	29	127,531	16,477
Share of operating (surplus)/deficit in joint ventures		(1,068)	1,585
Adjustment for investing and financing activities			
Investment income	5	(1,440)	(1,145)
Loan interest and other finance costs	10	5,565	6,243
New endowments pledged	6	(5,482)	(2,372)
Loss on the sale of fixed assets		1,123	-
Capital grant received		(12,258)	(10,918)
Net cash inflow from operating activities		78,725	69,140
Cash flow from investing activities			
Proceeds on disposal of non-current asset investments		171	487
Investment income		1,229	949
Capital grants received		12,258	10,918
Withdrawal of short-term investments		(29,572)	15,163
New non-current asset investments		(1,299)	(368)
Payments made to acquire fixed assets	12,13	(4,264)	(5,105)
Payments made to acquire assets under construction	12	(16,563)	(24,512)
Payments made to acquire intangible assets	11	(1,689)	(1,636)
Net cash outflow from investing activities		(39,729)	(4,104)
Cash flow from financing activities			
Loan interest and other finance costs		(5,565)	(5,861)
New endowments received	23	2,582	2,372
Capital element of finance lease		(25,524)	(21,495)
Net cash outflow from financing activities		(28,507)	(24,984)
Increase in cash and cash equivalents		10,489	40,052
Cash and cash equivalents at beginning of the year		126,546	86,494
Cash and cash equivalents at end of the year		137,035	126,546

The accompanying notes form part of these financial statements.

Notes to the Financial Statements

NOTE 1 TUITION FEES AND EDUCATION CONTRACTS

	GROUP		UNIVERSITY	
	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Home and EU students*	203,859	194,582	203,859	194,582
International students	114,039	85,775	114,039	85,775
Research Training Support Grant	5,564	4,108	5,564	4,108
Non-credit bearing course fees and other tuition fees	3,173	3,026	3,173	3,026
	326,635	287,491	326,635	287,491

* From 2021/22 new students admitted from the EU are classed as international students, whereas EU students who were admitted in prior years but continued their studies during 2021/22 remain classified as 'home and EU' students, as these students qualify for UK home fee status.

NOTE 2 FUNDING BODY GRANTS

	GROUP		UNIVERSITY	
	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Recurrent Grant				
Office for Students – Teaching grant	15,885	13,756	15,885	13,756
UKRI – Research grant	28,163	27,326	28,163	27,326
Specific Grants				
Office for Students – Capital grants	2,030	2,073	2,030	2,073
UKRI – Capital grants	9,252	6,760	9,252	6,631
Other Capital grants	459	2,085	459	2,214
Higher Education Innovation Fund	5,873	4,530	5,873	4,530
Other grants	1,094	2,886	1,094	2,886
	62,756	59,416	62,756	59,416

The Office for Students (OfS) is the independent regulator of higher education in England. One of its functions is to distribute funding in respect of teaching activities.

UK Research and Innovation (UKRI) oversees higher education research and knowledge exchange and provides grant funding in support of these areas.

Notes to the Financial Statements

NOTE 3 RESEARCH GRANTS AND CONTRACTS

	GROUP		UNIVERSITY	
	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Research Councils	42,929	40,873	42,929	40,873
UK Research Charities	14,453	11,220	14,453	11,220
UK Central Government, local authorities and health authorities	18,762	13,686	18,762	13,686
UK Industry and commerce	5,263	2,655	5,263	2,655
European Union government	17,602	17,614	17,602	17,614
European Union industry / other bodies	1,943	4,217	1,943	4,217
Other	5,813	4,353	5,813	4,353
Total Research Income	106,765	94,618	106,765	94,618

NOTE 4 OTHER INCOME

	GROUP		UNIVERSITY	
	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Residences, catering and conferences	48,767	28,806	48,767	28,808
Other revenue grants	7,022	4,451	7,022	4,451
Coronavirus jobs retention scheme	-	621	-	621
Other services rendered	2,766	3,603	2,183	1,922
Income from health authorities and trusts	5,610	4,656	5,610	4,656
Sports and swimming pool income	1,854	606	1,854	606
Summer Schools, fair and degree day income	269	37	269	37
ERASMUS income	860	795	860	795
Rental income and room hire	962	600	962	600
Externally charged staff time	1,629	1,610	1,629	1,705
Supplies and services to external customers	7,647	3,602	8,172	5,032
Library and IT related income	14	9	14	9
Other income	6,325	6,891	6,325	6,832
	83,725	56,287	83,667	56,074

Included within residences, catering and conferences £25.4m (2021: £16.1m) related to rental income from student residences that are operated under a service concession arrangement, which is further explained in Note 14.

Notes to the Financial Statements

NOTE 5 INVESTMENT INCOME

	Notes	GROUP		UNIVERSITY	
		Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Investment income on expendable endowments	23	368	297	368	297
Investment income on permanent endowments	23	642	582	642	582
Other investment income		429	259	429	259
Other interest receivable		1	7	-	-
		1,440	1,145	1,439	1,138

NOTE 6 ENDOWMENTS AND DONATIONS

	Notes	GROUP		UNIVERSITY	
		Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
New expendable endowments	23	5,408	2,295	5,408	2,295
New permanent unrestricted endowments	23	74	77	74	77
Restricted donations		106	199	106	199
Unrestricted donations		15	44	1,088	1,821
		5,603	2,615	6,676	4,392

NOTE 7 STAFF COSTS

Average staff numbers (including senior post holders) employed by the University during the year and expressed as full-time equivalents are presented in the table below:

	Year Ended 31 July 2022 Number	Year Ended 31 July 2021 Number
Academic	1,805	1,697
Research	911	883
Professional Services	2,980	2,728
	5,696	5,308

Staff cost

Group	Notes	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Salaries		243,768	220,780
Employer Taxes		24,429	21,486
Pension contributions	28	38,360	35,177
Direct staff costs		306,557	277,443
Redundancy and severance payments		561	528
Movement on USS pension provision		131,817	20,731
		438,935	298,702

Notes to the Financial Statements

NOTE 7 STAFF COSTS (continued)

Vice Chancellor and Chief Executive's Salary

University Context and institutional Performance 2021/22

The role of Vice-Chancellor as Chief Academic Officer and Chief Executive of the institution is a complex and challenging one, requiring excellent leadership and people skills to deal with the wide range of stakeholders which exist in every university and a comprehensive insight into the role and future of higher education and research. The Vice-Chancellor leads the development and delivery of the institution's strategy to ensure the continued growth and success of the University. Exeter as a member of the Russell Group of leading UK research intensive universities. In the face of the disruption caused by the Covid pandemic the University was recognised as developing sector leading propositions to support students' continued engagement and success in education, whilst in the same year rising 17 places in the THE World Universities rankings to enter the top 150 universities globally.

[The University's 2030 strategy](#)⁷ sets out our aims to use the power of our interdisciplinary education and research culture to create a sustainable, healthy and socially just future. We have set ambitious goals to challenge and inspire our students to develop skills to lead the change the world needs; to foster new discoveries for solving the challenges of today and tomorrow; and to be a globally networked University with regional, national and international impact, offering outstanding education and research opportunities for our communities to overcome the challenges of the twenty-first century. We will achieve these goals through creating strong partnerships with partners, students and alumni across our campuses, our region and the world; and supporting each other to thrive, be fulfilled and reach our potential within an inclusive, fair, compassionate and healthy community. We will continue to measure our progress towards the achievement of our aims

within the UK and international markets using performance metrics.

The University's achievement in 2021/22 are detailed in the "How we performed" section of the Annual Report.

Remuneration Decisions

Decisions on the reward of the Vice-Chancellor are made by the University's Remuneration Committee (which is composed of independent members of the University's Governing Body) taking account of the level of responsibility, market data for the remuneration of Vice-Chancellors at competitor institutions, the achievement of strategic goals, the institution's national and international rankings and performance against key performance metrics.

The remuneration received by Professor Roberts in the year ended 31 July 2022 was:

- a base salary of £275,000 per annum.
- a performance award (under the Executive Performance Reward Scheme) of £48,125 (17.5% out of a potential 20%), recognising the achievement of institutional and personal performance targets agreed at the commencement of the year.
- Employer pension contributions to the Universities Superannuation Scheme (USS) at the same level paid for other members of USS. Professor Roberts has joined the University's USS salary sacrifice arrangements, which is open to all University employees who are members of USS. Under this arrangement, Professor Roberts' salary has been reduced by £26,860 from the figure quoted above and the University paid these employee contributions on her behalf.

In recognition of her performance in her first two years in office, during which she has led the development and launch of the new University Strategy, the development and implementation of changes to University structures and ways of working to facilitate the achievement of our strategic goals, successfully steered the University through the significant challenges of the Coronavirus pandemic, and delivered an improvement in the University's national and international league table performances and in the National Student Survey, the Remuneration Committee has agreed to increase Professor Roberts' salary by 5.45% to £290,000 from 1 August 2022. This is the first salary increase for Professor Roberts since she joined the University of Exeter in September 2020.

The figures in the Emoluments of the Vice-Chancellor table below reflect the fact that Professor Roberts was employed by the University for 11 months in 2020/21, and the fact that, due to the Covid pandemic, all members of the University Executive Board reduced their eligibility for performance reward payments by 50% in that year.

Pay Ratios

The Office for Students' methodology for calculating pay ratios includes anyone paid during the financial

year, including workers engaged on an occasional basis and both leavers and their replacements, irrespective of how long they worked during the year. Total pay includes employer pension contributions/ allowance in lieu of employer pension contributions and taxable benefits. Pay for part-time and hourly paid workers have been pro-rated up to the full-time equivalent. Unlike some other higher education institutions, the University of Exeter has not contracted out services on a significant scale.

The figures are calculated for the current Vice-Chancellor, Professor Lisa Roberts.

Based on the OfS methodology:

- The ratio between the Vice-Chancellor's basic salary in 2021/22 and the median basic salary of all other persons employed by the University in the 2021/22 financial year, including workers engaged on an occasional basis, is 9.4 (2020/21: 9.4)
- The ratio between the Vice-Chancellor's total reward in 2021/22 and the median total reward of all other persons employed by the University in the 2021/22 financial year, including workers engaged on an occasional basis, is 10.6 (2020/21: 10.2)

Emoluments of the Vice-Chancellor

	2020/21			2021/22
	Professor Sir Steve Smith 01/08/2020 – 31/08/2020 £'000	Professor Lisa Roberts 01/09/2020 – 31/07/2021 £'000	Total £'000	Professor Lisa Roberts Total (£000)
Salary	26	252	278	275
Performance related remuneration	-	24	24	48
Total pay made to the VC	26	276	302	323
Pension contributions and payments in lieu of pension contributions	4	53	57	59
Other taxable benefits	-	10	10	-
Other non-taxable benefits	-	8	8	-
Long-term retention scheme 2013–2020	106	N/A	106	N/A
Total Emoluments	136	347	483	382

⁷ www.exeter.ac.uk/strategy2030

Notes to the Financial Statements

NOTE 7 STAFF COSTS (continued)

The figures excluding leavers and workers engaged on an occasional basis are:

- The ratio between the Vice-Chancellor's basic salary and the median basic salary of all other persons employed by the University in the 2021/22 financial year is 8.0. (2020/21: 7.7);
- The ratio between the Vice-Chancellor's total reward in 2021/22 and the median total reward of all other persons employed by the University in the 2021/22 financial year is 9.4. (2020/21: 9.4).

Compensation for loss of Office

The total amount of any compensation for loss of office paid by the University for the year ended 31 July 2022 was £561k and relates to 135 posts (£528k for 104 posts to 31 July 2021). These figures include statutory redundancy and voluntary severance payments.

Key management personnel

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the University. Such persons have been defined as members of the University's Executive Board. Remuneration of key management personnel was £3,642k including employer's pension contribution for 19 posts for the year ended 31 July 2022. (Excluding employer's pension contributions £3,205.) (£3,904k including and £3,443k excluding employer's pension contribution for 18 posts to 31 July 2021).

Higher paid staff

Remuneration of higher paid staff, excluding employer's pension contributions (except where this is part of a salary sacrifice scheme) and partner institutions in respect of its contractual obligations to University staff under separate NHS contracts of employment and which are excluded in the University's Statement of Comprehensive Income is reported in the following table:

In line with the Office for Students Accounts Direction, the 2021/22 figures do not include staff who joined or left part-way through the year but who would have received salary in these bands in a full year. The 2021/21 figures do include staff who joined or left part-way through the year.

This table excludes the Vice-Chancellor's remuneration, which is detailed on page 85.

	Year Ended 31 July 2022 Headcount	Year Ended 31 July 2022 FTE	Year Ended 31 July 2021 Headcount	Year ended 31 July 2021 FTE
£100,000-£104,999	17	14.9	25	22.6
£105,000-£109,999	23	21.4	18	14.6
£110,000-£114,999	27	21.4	33	25.3
£115,000-£119,999	16	13.9	13	12.0
£120,000-£124,999	9	6.4	15	12.3
£125,000-£129,999	28	18.5	22	13.3
£130,000-£134,999	6	4.5	4	4.0
£135,000-£139,999	6	5.8	6	4.5
£140,000-£144,999	7	5.7	4	3.2
£145,000-£149,999	2	0.4	-	-
£150,000-£154,999	2	1.4	3	2.0
£155,000-£159,999	2	2.0	3	3.0
£160,000-£164,999	3	2.6	-	-
£165,000-£169,999	4	4.0	3	3.0
£170,000-£174,999	1	1.0	1	1.0
£180,000-£184,999	2	2.0	2	2.0
£185,000-£189,999	-	-	1	1.0
£190,000-£194,999	3	3.0	-	-
£200,000-£204,999	-	-	-	-
£210,000-£214,999	2	2.0	2	2.0
£220,000-£224,999	-	-	1	1.0
£225,000-£229,999	1	1.0	-	-
£230,000-£234,999	1	1.0	1	1.0
	162	132.9	157	127.8

Independent members do not receive payment, apart from reimbursement of expenses for fulfilling their role as members of the governing body. Reimbursement of expenses amounted to £11,105 for 9 trustees (2021: £1,351 for 2 trustees). An additional £24,645 was paid directly by the University for travel, accommodation and subsistence for Council members (2021: £5,360).

Council Members

The University Council members are the charitable trustees. Due to the nature of the University's operations and the composition of the University Council (with members being drawn from local, public and private sector organisations) it is inevitable that transactions will take place with organisations in which a member of Council may have an interest. Details of the organisations in which members of Council have an interest are published online at www.exeter.ac.uk/about/organisation/council/whowere

Further information on related party transactions is included in Note 30.

Notes to the Financial Statements

NOTE 8 OTHER OPERATING EXPENSES

	GROUP		UNIVERSITY	
	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Residences, catering and conferences	15,441	7,549	15,440	7,549
Rents and rates	2,934	1,700	2,934	1,697
Light, heat, power and water	7,336	5,801	7,342	5,805
Repairs and general maintenance	11,515	9,251	11,515	9,234
Research	21,215	16,967	21,215	16,967
Sport	1,624	748	1,624	748
Penryn campus costs	7,689	9,263	7,689	9,263
Laboratory equipment and consumables	3,993	3,292	3,993	3,292
IT hardware, software and licences	8,963	7,551	8,962	7,530
Other equipment (including loss on disposal of equipment)	11,494	8,656	11,494	8,656
Books and periodicals	6,674	7,155	6,674	7,155
Agency, seconded staff and staff support costs	5,191	4,414	5,191	4,414
Publicity, publications and student recruitment	14,603	9,781	14,603	9,781
Travel and subsistence	8,537	1,988	8,537	1,988
Scholarships, prizes and student support	29,015	26,116	29,015	26,116
Auditors remuneration ⁸	122	111	115	100
Auditors remuneration in respect of non-audit services	47	36	40	36
Other expenses	24,755	33,837	24,691	33,770
	181,148	154,216	181,074	154,101
Included within other operating expenses are:				
Internal audit costs (within other expenses) ⁸	161	232	161	232
External audit costs (within Auditors remuneration) ⁸	122	111	115	100
Operating lease expenses	534	466	534	466

⁸ Internal and external audit costs are shown net of the Value Added Tax.

Notes to the Financial Statements

NOTE 9 ANALYSIS OF TOTAL EXPENDITURE BY ACTIVITY

GROUP	Staff Costs £'000	Other Operating Expenses £'000	Depreciation and Impairment £'000	Interest Payable £'000	2022 Total £'000	2021 Total £'000
Academic colleges	149,991	41,779	2,505	-	194,275	169,065
Academic services	38,731	18,245	721	-	57,697	35,181
Administration and central services	50,013	62,477	5,155	-	117,645	127,917
Premises	9,667	30,091	20,731	5,565	66,054	60,096
Residences, catering and conferences	5,920	7,341	27,654	-	40,915	34,077
Research grants and contracts	52,796	21,215	2,288	-	76,299	65,170
Pensions adjustment	131,817	-	-	766	132,583	21,409
	438,935	181,148	59,054	6,331	685,468	512,915

NOTE 10 INTEREST AND OTHER FINANCE COSTS

GROUP AND UNIVERSITY	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Loan interest	5,551	5,551
Other finance costs	14	14
Net charge on pension schemes	766	678
	6,331	6,243

NOTE 11 INTANGIBLE ASSETS

GROUP AND UNIVERSITY	Goodwill	Software £'000	Assets under development £'000	Total £'000
Cost				
As at 1 August 2021	364	18,750	3,028	22,142
Additions	-	29	1,660	1,689
Transfer from assets under development	-	2,820	(2,820)	-
Transfers from tangible assets	-	-	1,875	1,875
Cost of disposals	(364)	(592)	-	(956)
As at 31 July 2022	-	21,007	3,743	24,750
Depreciation				
As at 1 August 2021	364	15,045	-	15,409
Charge for the year	-	2,541	-	2,541
Disposals	(364)	(587)	-	(951)
As at 31 July 2022	-	16,999	-	16,999
Net Book Value				
At 31 July 2022	-	4,008	3,743	7,751
At 31 July 2021	-	3,705	3,028	6,733

The goodwill was acquired as part of the acquisition of the University of Exeter Students' Guild's trading activity on 10 December 2020. Goodwill is amortised on a straight-line basis over its useful life which concluded at the end on the 2020/21 academic year.

Notes to the Financial Statements

NOTE 12 TANGIBLE FIXED ASSETS

GROUP AND UNIVERSITY	Land and buildings		Service concession arrangement (Note 14) £'000	Equipment £'000	Assets under construction £'000	Total £'000
	Freehold £'000	Long Leasehold £'000				
Deemed Cost						
At 1 August 2021	681,588	115,573	25,390	113,847	30,336	966,734
Additions	-	-	26,725	4,263	16,563	47,551
Disposals	(1,181)	-	(25,390)	(7,703)	-	(34,274)
Transfer to intangible assets					(1,875)	(1,875)
Transfers from assets under construction	26,586	1,080	-	4,876	(32,542)	-
Transfers to investment property	(802)	-	-	-	-	(802)
At 31 July 2022	706,191	116,653	26,725	115,283	12,482	977,334
Depreciation						
At 1 August 2021	122,123	21,116	-	80,572	-	223,811
Charge for the year	19,492	3,503	25,390	8,128	-	56,513
Disposals	(227)	-	(25,390)	(7,538)	-	(33,155)
At 31 July 2022	141,388	24,619	-	81,162	-	247,169
Net book value						
At 31 July 2022	564,803	92,034	26,725	34,121	12,482	730,165
At 31 July 2021	559,465	94,457	25,390	33,275	30,336	742,923

- a) At 31 July 2022, freehold land and buildings included £87.2m (2021: £87.2m) in respect of freehold land which is not depreciated.
- b) Included in the cost of freehold land and buildings is £1.1m (2021: £1.1m) bank loan interest paid that has been capitalised. This has been calculated at the loan interest rate of 5.88%. These finance costs are directly attributable to the construction of student residences and were capitalised as part of the cost of those assets whilst they were in the course of construction. There has been no capitalisation of interest payable in the current or prior years.
- c) Upon transition to FRS102 tangible fixed assets were valued at deemed cost following a valuation performed by the external Chartered Surveyors, Jones Lang LaSalle, as at 31 July 2014 on the basis of existing use or depreciated replacement cost according to the nature and use of each building. This valuation was prepared in accordance with the valuation standards published by the Royal Institution of Chartered Surveyors. No further revaluations of tangible fixed assets will occur, with the exception of investment properties (note 15) and heritage assets (note 13).
- d) Long leasehold land and buildings are comprised of the University owned buildings on the Penryn Campus, which were acquired under a 125 years lease (106 years remaining), Engineering Research Centre on the Exeter Science Park site and the Research, Innovation, Learning and Development ("the RILD") buildings on the Royal Devon and Exeter Hospital (Wonford) site in Exeter, which was completed in 2013/14. The RILD buildings are held under a finance lease arrangement which has been fully paid in advance.

A finance lease liability and the equivalent prepayment have been included on the Statement of Financial Position in relation to the RILD building on the following basis:

	Note	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Debtors: Amounts falling due within one year	17	133	134
Debtors: Amounts falling due after more than one year	17	15,392	15,525
Creditors: Amounts falling due within one year	19	(133)	(134)
Creditors: Amounts falling due after more than one year	20	(15,392)	(15,525)

Of the amounts falling due after more than one year, £133k is due within one to two years, £400k is due within two to five years, and £14,859k is due after more than five years. (2021: £134k; £400k; £14,990k respectively).

Notes to the Financial Statements

NOTE 13 HERITAGE ASSETS

Group and University	Special Collections £'000	Fine Art Collection £'000	Total £'000
Cost/Valuation			
As at 1 August 2021	3,119	5,969	9,088
Additions	1	-	1
Revaluation surplus	139	17	156
As at 31 July 2022	3,259	5,986	9,245

History of heritage assets

	2022 £'000	2021 £'000	2020 £'000	2019 £'000	2018 £'000
Year-ended 31 July					
Acquisition of heritage assets	1	-	-	78	-
Donated heritage assets	-	-	-	9	-
Revaluation surplus	156	-	(5)	1,847	-

Library special collection

Special Collections manages unique and distinct collections of archives, manuscripts and rare books. The collections are used extensively in University teaching and research programmes across a range of disciplines and are particularly strong in twentieth-century literary papers by writers associated with the Southwest of England, Arab and Islamic Studies, religious archive and book collections.

Fine art and furniture collection

The University has a collection ranging from paintings, prints and drawings to sculpture and silverware. The University has a collection of sculpture across Streatham Campus by distinguished artists such as Barbara Hepworth, Paul Mount and Michael Ayrton.

Both the library and fine art collection were professionally valued as at 31 July 2022 by external Fine Art Auctioneers and Valuers, Messrs. Bearnes Hampton and Littlewood, on an open market value basis.

Bill Douglas Cinema Museum

The Bill Douglas Cinema Museum holds a collection of books, prints, artefacts and ephemera relating to the history and pre-history of cinema. The initial collection was donated to the Exeter University Foundation in 1994 but since then other collections have also been donated, bringing total number of items to over 86,000. No value is reported in the Group's Statement of Financial Position as no reliable cost or valuation can be attributed to this unique and irreplaceable collection. These assets are managed by the curator and his staff to ensure their cataloguing, safe keeping and preservation and are insured against accidental damage or loss at the University's expense. The museum was opened to the public in 1997 and is free of charge.

NOTE 14 SERVICE CONCESSION ARRANGEMENTS

A service concession arrangement is a contract entered into by the University with a private sector entity in order to construct, operate and maintain infrastructure assets for a specified period of time. Such agreement requires a private sector entity to provide services on behalf of the University.

The University has three service concession arrangements with University Partnerships Programme Limited (UPP) for the development and operation of student residential accommodation services. These facilities are complete and available for the start of 2022/23 academic year.

Service concession arrangement	Contract starts	Contract length	Number of rooms available	Number of rooms nominated for 2022/23	Minimum lease payment £'000
Birks, Duryard, Lafrowda, St Germain's and Rowe residences	September 2009	42 years	2,569	2,569	16,451
Spreyton and Moberley residences	June 2018	52 years	382	382	2,433
East Park residences	January 2019	52 years	1,182	1,182	7,841

The assets and liabilities relating to these contracts are recognised on the University's Statement of Financial Position to the extent that the University is required to fulfil nomination commitments by 31 January each year for the following academic year. This requires the University to pay for the nominated rooms in the following financial year only. Therefore, assets and liabilities relating to the service concession arrangements are recognised to the extent of the present value of the guaranteed minimum payment, being the rentals for the rooms nominated in each academic year. There is no provision for occupancy guarantee in the contracts. In the normal course of business, student rental income is expected to fund the University's obligation for the minimum lease payment to UPP. At the end of the contract term the buildings will revert back to the University.

Service Concession Arrangement assets

The asset value of the service concession in the Statement of Financial Position as at 31 July 2022 is £26.7m (2021: £25.4m).

Service Concession Arrangement liabilities

The total liabilities relating to the service concession included in the Statement of Financial Position as at 31 July 2022 were £26.7m (2021: £25.4m), representing the present value of lease obligations for the following academic year.

Future Commitments

The following table analyses the University's future commitments in relation to service concession arrangements:

	Payable within 1 year £'000
Liability repayments	26,697
Service charge	28
	26,725

Notes to the Financial Statements

NOTE 15 NON-CURRENT INVESTMENTS

	Endowment Funds invested £'000	Investment Property £'000	Subsidiary companies £'000	Other investments £'000	Total 2022 £'000	Total 2021 £'000
Group						
At 1 August 2021	47,247	949	-	233	48,429	40,979
Paid in/(withdrawn)	1,000	-	-	298	1,298	36
Investment income	1,010	-	-	-	1,010	880
Fees	(170)	-	-	-	(170)	(155)
Transfer to Tangible Fixed Assets	-	802	-	-	802	(1,079)
Revaluation (loss)/gain	(2,656)	86	-	-	(2,570)	7,768
	(816)	888	-	298	370	7,450
At 31 July 2022	46,431	1,837	-	531	48,799	48,429
University						
At 1 August 2021	47,247	949	210	225	48,631	41,181
Paid in/(withdrawn)	1,000	-	-	306	1,306	36
Investment income	1,010	-	-	-	1,010	880
Fees	(170)	-	-	-	(170)	(155)
Transfer to Tangible Fixed Assets	-	802	-	-	802	(1,079)
Revaluation (loss)/gain	(2,656)	86	-	-	(2,570)	7,768
	(816)	888	-	306	378	7,450
At 31 July 2022	46,431	1,837	210	531	49,009	48,631

Endowment Funds

The University holds an investment portfolio to invest part of its [endowment funds](#), which are managed in line with the [University Investment Policy](#). The investment objective of endowment funds is to achieve an absolute rate of return that is deemed achievable in the market place and sufficient to fulfil the charitable objectives of the donation, taking into account risks and any requirements to preserve capital. For more details on the endowment funds see Note 23.

Investment Property

The University holds investment property where buildings are held to earn external rental income. Where premises are occupied by subsidiary companies, these assets are not included as investment property at a consolidated level and are included within tangible fixed assets instead (Note 12).

Notes to the Financial Statements

NOTE 15 NON-CURRENT INVESTMENTS (continued)

Subsidiary companies

The investments in subsidiary undertakings, as consolidated in the Financial Statements, comprise the following:

Directly owned Indirectly owned	Group Holding	Shareholding	Principal business activity
UOE Consulting Limited	100%	60,110 Ordinary £1	Consultancy activities
Peninsula Innovations Limited	100%	2 Ordinary £1	Property management
ESI Enterprises Limited	100%	1 Ordinary £1	Dormant company
Living Systems Technology Ltd	100%	1 Ordinary £1	Dormant company
Exeter ISC Limited	100%	100 Ordinary £1 and 149,900 Redeemable preference £1	Holding company of INTO University of Exeter LLP
ERBS Trustee Limited	100%	1 Ordinary £1	Dormant company

All of the above companies are registered in England and Wales.

The activities of The Exeter University Foundation ("the Foundation"), a registered charity, are consolidated on the grounds that the University has a controlling influence over its activities. From 2015/16 the University is the sole corporate trustee of the Foundation. The Foundation supports the collections of The Bill Douglas Cinema Museum. It does not actively solicit donations, but will accept donations from those who prefer to donate to the Foundation rather than the University. The Foundation shares a year-end of 31 July with the University.

Other investments

Other investments of the University are comprised of the following:

Name	Holding
Attomarker Limited	765 Ordinary £0.01 shares
Biosystems Technology Limited	270 Ordinary £0.50 shares
BuildSolar Limited	7,146 Ordinary £0.01 shares
Concrene Ltd	2,350 Ordinary £0.01 shares
Cotton Mouton Diagnostics Limited	550,532 Ordinary £0.01 shares
DigiLab Solutions Limited	910 Ordinary £0.01 shares
Disigi Limited	12 Ordinary £1 shares
Full Scales Dynamics Limited	1,600 Ordinary £1 shares
Health Behaviour Group	Limited by guarantee
Industrial Tomography Systems Plc	249,564 Ordinary £0.01 shares
Isca Diagnostics Limited	2,500 Ordinary £1 shares
MAXLLG	200 Ordinary £0.01 shares
Minviro Ltd	54,478 Ordinary £0.00001 shares
MitoRx Therapeutics Limited	8,857 Ordinary £0.01 shares
Neuronostics Ltd	2,437 Ordinary £0.01 shares
One Health Ventures Ltd	500,050 Ordinary £0.01 shares
Quanterra Systems Limited	13,000 Ordinary £0.01 shares
Quest Genetics Limited	2,112 Ordinary £0.01 shares
Senisca Ltd	26,399 Ordinary £0.001 shares
Stream Sensing (nominee 1) Limited	72 Ordinary £0.01 shares
Tireme Systems Limited	59,220 Ordinary £1 shares
TTL Holdings Limited	1,583 Ordinary £1 shares
VM Agritech (former Myco Sciences Ltd)	125 Ordinary £1 shares

These are all minority shareholdings whereby the University does not have significant influence or control over the companies.

The University holds 67,536 Ordinary £10 shares in Exeter Science Park Ltd. The shares are held at nil value, reflecting the uncertainty and remoteness of a return on investment. The development of the Science Park is being funded in part from the Heart of the South West Local Enterprise Partnership loan facility. For further details on the loan see note 27.

Notes to the Financial Statements

NOTE 16 INVESTMENT IN JOINT VENTURES

Falmouth Exeter Plus Ltd Group (FX+ Ltd)

FX + Ltd is a joint venture company with two members - the University and Falmouth University. It is a company limited by guarantee without share capital. FX + Ltd has been established to provide student accommodation, student support and commercial services for the Penryn campus, occupied by the University and Falmouth University and has the status of an exempt charity.

Tremough Development Vehicle Limited (TDV Ltd) is a dormant wholly owned subsidiary of FX + Ltd. It was established to provide the construction of the main campus for the University and Falmouth University.

Cornwall Plus Limited is a wholly owned subsidiary of FX + Ltd. It was established to operate non-student letting of residences, non-academic conferences, external events and corporate hospitality. It commenced trading on 1 August 2013.

FX + Ltd, TDV Ltd and Cornwall Plus Ltd have financial years that end on 31 July.

INTO University of Exeter LLP

INTO University of Exeter LLP is a limited liability partnership between Exeter ISC Limited, a wholly owned subsidiary of the University, and INTO Exeter Limited, a wholly owned subsidiary of INTO University Partnerships Limited. Its principal place of business is INTO Building, Stocker Road, Exeter, EX4 4PY. INTO University of Exeter LLP was formed in December 2006 and operates from the University of Exeter's Streatham campus. Its principal activity is the provision of pre-university academic and language courses, primarily to non-EU and non-UK students.

Exeter ISC Limited and INTO University of Exeter LLP have financial years that end on 31 July.

Jointly controlled entities

Both FX + Ltd and INTO University of Exeter LLP arrangements are jointly controlled entities and are accounted for using the gross equity method, such that 50% of each company's net equity (gross assets less gross liabilities) is included in the consolidated Statement of Financial Position of the University and 50% of their net income is reported in the University's consolidated income and expenditure account.

Both INTO University of Exeter LLP and Exeter ISC Limited have entered into a gift aid arrangement to distribute surpluses arising on their activities to the University and joint venture partners accordingly.

		Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Share of operating surplus/ (deficit)	FX + INTO	78 990 1,068	(1,123) (462) (1,585)
Share of total comprehensive income	FX + INTO	11,323 990 12,313	(2,886) (462) (3,348)
Share of gross assets	FX + INTO	39,572 7,487 47,059	40,469 7,804 48,273
Share of gross liabilities	FX + INTO	(23,679) (7,918) (31,597)	(35,899) (7,275) (43,174)
Share of net assets/(liabilities)	FX + INTO	15,893 (431) 15,462	4,570 529 5,099

Notes to the Financial Statements

NOTE 17 TRADE AND OTHER RECEIVABLES

	GROUP		UNIVERSITY	
	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Amounts falling due within one year				
Accrued research grant income	28,242	25,811	28,242	25,810
Prepayments	27,472	18,716	27,443	18,449
Other receivables	19,781	17,584	19,770	17,884
Amounts due from subsidiary companies	-	-	46	1,052
	75,495	62,111	75,501	63,195
Amounts falling due after one year				
Lease prepayment	17,263	17,509	17,263	17,509
Total	92,758	79,620	92,764	80,704

Amounts due from subsidiaries are repayable on demand with no interest charged.

NOTE 18 CURRENT ASSET INVESTMENTS

	GROUP		UNIVERSITY	
	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Short-term deposits	25,000	-	25,000	-
Other short-term investments	14,823	10,251	14,823	10,251
	39,823	10,251	39,823	10,251

Short term deposits are held with banks and building societies operating in the UK financial market and authorised by the Financial Conduct Authority with greater than three months but less than twelve months maturity at the Statement of Financial Position date. The interest rates for these deposits are fixed for the duration of the deposit at time of placement.

At 31 July 2022, the weighted average interest rate of these fixed rate deposits was 1.47% (31 July 2021: nil) per annum and the remaining weighted average period for which the interest rate is fixed on these deposits was 140 days (31 July 2021: nil).

Other short term investments include interest bearing notice bank accounts, money market funds, certificates of deposit, floating rate notes and corporate bonds with greater than three months maturity but less than 12 months at the Statement of Financial Position date.

Notes to the Financial Statements

NOTE 19 CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	GROUP		UNIVERSITY	
	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Other payables	11,585	10,945	11,585	10,945
Obligations under finance leases	867	867	867	867
Trade payables	29,435	23,916	29,434	23,901
Service Concession Arrangement	26,725	25,390	26,725	25,390
Social security and other taxation payable	9,376	6,471	9,376	6,471
Accruals and deferred income	38,121	39,980	38,115	39,626
Research grants received on account	57,016	50,834	57,016	50,834
	173,125	158,403	173,118	158,034

NOTE 20 CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR

	GROUP		UNIVERSITY	
	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Bank loans	209,580	209,566	209,580	209,566
Obligations under finance lease	15,392	15,525	15,392	15,525
Deferred income	37,688	38,424	37,688	38,424
Other creditors	130	534	130	534
	262,790	264,049	262,790	264,049

Deferred income represents receipts from a number of service concession arrangements that are released to the Statement of Comprehensive Income over the life of contract. There is no contractual or constructive obligation to repay these receipts.

Analysis of bank loans Group and University	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Due in five or more years	209,580	209,566
Total secured and unsecured loans	209,580	209,566

Notes to the Financial Statements

NOTE 20 CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR (continued)

Included within the total balance above is the following:

Lender	Facility £'000	Interest Rate %	Repayment	Maturity	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Northwestern Mutual Life	35,000	2.58	Bullet	2038	34,935	34,931
Pricoa Capital Group	60,000	2.61	Bullet	2043	59,881	59,877
Pricoa Capital Group	90,000	2.68	Bullet	2048	89,816	89,811
Macquarie Investment Management	25,000	2.68	Bullet	2048	24,948	24,947
					209,580	209,566

In January 2018 the University issued Loan Notes of £210m to three lenders at fixed interest rates. Transaction fees of £482k are being amortised over the duration of the Loan Notes and charged to Other Finance costs.

All borrowings are unsecured but include a negative pledge obligation to each lender, whereby the University has agreed not to grant security over its assets to third parties.

In November 2017, the University entered into a 7-year £50m revolving credit facility with Barclays Bank. No drawings from the facility have been made during the year.

NOTE 21 ANALYSIS OF CHANGES IN NET DEBT

Group	At 1 August 2021 £'000	Cash flow in year £'000	Change in creditor £'000	At 31 July 2022 £'000
Cash and cash equivalents	126,546	10,489	-	137,035
Current asset investments	10,251	29,572	-	39,823
	136,797	40,061	-	176,858

Bank loan and borrowings

Due within 1 year	-	-	-	-
Due after 1 year	(209,566)	-	(14)	(209,580)
	(209,566)	-	(14)	(209,580)
	(72,769)	40,061	(14)	(32,722)

Notes to the Financial Statements

NOTE 22 FINANCIAL INSTRUMENTS

A financial instrument is a contract that gives rise to a financial asset in one entity and a financial liability or equity instrument in another entity. Financial instruments included within the Statement of Financial Position are presented in the table below:

	GROUP		UNIVERSITY	
Financial instruments	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Financial assets				
<i>Financial assets at fair value through Statement of Comprehensive Income</i>				
Listed investments	46,431	47,247	46,431	47,247
Investment properties	1,837	949	1,837	949
Investment in joint venture	15,462	5,099	-	-
<i>Financial assets that are equity instruments measured at cost less impairment</i>				
Other investments	531	233	531	225
<i>Financial assets that are debt instruments measured at amortised cost</i>				
Cash and cash equivalents	137,035	126,546	136,731	125,671
Investments	39,823	10,251	39,823	10,251
Other debtors	48,023	57,330	48,058	57,878
Financial liabilities				
<i>Financial liabilities measured at amortised cost</i>				
Loans	209,580	209,566	209,580	209,566
Service concessions	26,725	25,390	26,725	25,390
Finance leases	16,259	16,392	16,259	16,392
Trade payables	29,435	23,916	29,434	23,901
Other creditors	130	534	130	534

Listed investments are the University's endowment funds invested in securities actively traded on the Stock Exchange and regularly valued at open market value, and fixed income instruments such as bonds determined using quoted prices.

Investment properties are valued annually by an accredited professional valuer on the basis of the open market value for their existing use or depreciated replacement cost. The assumptions applied in determining fair value are:

- All buildings are materially sound;
- No alterations have been made that the valuers are unaware of.

Investments in joint ventures are accounted for using the gross equity method, such that 50% of each company's net equity (gross assets less gross liabilities) is included in the consolidated Statement of Financial Position of the University and 50% of their net income is reported in the University's consolidated Statement of Comprehensive Income.

Notes to the Financial Statements

NOTE 22 FINANCIAL INSTRUMENTS (continued)

Nature and Extent of Risks Arising from Financial Instruments

The University's activities expose it to a variety of financial risks. The Council, alongside its Audit Committee, oversees the management of these risks by reviewing and agreeing policies and ensuring conformity.

The main risks to the University's activities are presented below.

Credit and Counterparty Risk

Credit and counterparty risk is the risk that a counterparty will not meet their obligations under a financial instrument or customer contract, leading to a financial loss. The University is exposed to credit risk from both its primary and ancillary activities and financial activities, including deposits with banks and financial institutions.

Outstanding receivables are regularly monitored. The maximum exposure to credit risks at the reporting date is the carrying value of each class of financial asset.

The risk applicable to financial activities is minimised through the investment strategy, and more specifically by the defined lending counterparty criteria, which sets out the principles with which potential counterparties' creditworthiness is judged. Such principles take account of counterparty ratings by the three major ratings agencies: Fitch, S&P and Moody's; with the lowest long-term rating of the three being used. Limits are set on the amount that can be invested with each financial institution based on ratings, group structure and duration. Short term deposits and current account balances are typically with banks and financial institutions who are committed lenders to the institution.

The lending counterparty criteria are proposed and approved regularly, incorporating any changes in financial institutions or developments in the wider political, economic, or legal environment.

A range of indicators are used to assess counterparties' creditworthiness, not just credit ratings. Among other indicators that are taken into account are:

- Credit default swaps and spreads;
- Likelihood and strength of parental support;
- Government guarantees and support;
- Market information on corporate developments and market sentiment towards the counterparties and sovereigns.

Liquidity/Refinancing Risk

Liquidity risk arises from the University's management of working capital, the finance charges and principal repayment on its borrowings. It is the risk that the University will encounter difficulty in meeting its financial obligations as they fall due. The University's objective is to ensure it has sufficient available funds for its operations and to fund its capital expenditure. This is achieved by continuous monitoring of forecast and actual cash flows, ensuring it has appropriate levels of cash and borrowing facilities to meet liabilities as they fall due.

Within the treasury management function, a comprehensive cash flow management system is operated to ensure that cash is available as needed. Cash investments are made based on forecasting the cash requirement for operational and capital spending. Short-term money market deposits are made with suitable counterparties, and it has become more frequent under current market conditions that notice accounts or money market funds are used.

A revolving credit facility of £50m is retained which can be drawn to mitigate the effects of any unexpected cash movements.

We conduct regular covenant analysis on a forward looking basis with our latest financial forecast and budgets.

Market Risk

Market risk is the risk that the fair values of financial instruments will fluctuate because of changes in market prices, including but not limited to changes triggered by fluctuation of interest rate. The financial instruments held by the University that are affected by market risk are principally cash balances, borrowings and endowment funds.

Private placement borrowings have fixed interest rates applicable for the entire term of borrowings and therefore its exposure to a market risk is minimal.

Endowment funds are invested with an investment manager who ensures diversification and acts within the University's investment policy. The funds are placed on a nominee account opened in the name of the University. Compliance with the investment policy and performance of the investments is monitored regularly.

The University monitors its interest rate exposure on all cash balances. The University seeks to ensure that its stated treasury management policies and objectives will not be compromised by adverse market fluctuations in the value of the principal sums it invests, and will accordingly seek to protect itself from the effects of such fluctuations. The overriding principals guiding the investment and deposit of surplus cash is the safeguarding and preservation of the principal investment.

The University seeks to optimise investment returns commensurate with its objectives of security and liquidity.

Foreign Exchange Risk

Bank accounts held are denominated in Sterling, Euros and Dollars. Foreign currency invoices are raised predominantly in Euro or Dollar. By holding Euro and Dollar denominated accounts exchange rate risk exposure is mitigated. Receipts in foreign currency in excess of scheduled respective currency payments are converted in Pound Sterling – the University's functional currency.

Notes to the Financial Statements

NOTE 23 ENDOWMENT RESERVES

Group and University	Restricted permanent endowment £'000	Unrestricted permanent endowment £'000	Expendable endowments £'000	2022 Total £'000	2021 Total £'000
Balances at 1 August:					
Capital/Original Gift	9,714	1,943	17,016	28,673	25,925
Accumulated income/Unapplied Total return	18,777	1,192	905	20,874	15,557
	28,491	3,135	17,921	49,547	41,482
New endowments*	-	74	5,408	5,482	2,372
Investment income	578	64	368	1,010	880
Expenditure	(1,872)	(11)	(2,806)	(4,689)	(3,498)
(Decrease)/increase in market value of investments	(1,619)	(193)	(844)	(2,656)	8,024
Transfer from donations	-	-	-	-	287
Total endowment comprehensive (loss)/income for the year	(2,913)	(66)	2,126	(853)	8,065
Balances at 31 July	25,578	3,069	20,047	48,694	49,547
Represented by					
Capital/Original Gift	9,714	2,017	1,212	12,943	28,673
Accumulated income/Unapplied Total return	15,864	1,052	18,835	35,751	20,874
	25,578	3,069	20,047	48,694	49,547
Analysis by asset:				£'000	£'000
Under management by Rathbone Greenbank				46,431	47,247
Cash managed by University				2,263	2,300
				48,694	49,547
Analysis by type:					
Institute for Arab and Islamic Studies				18,226	20,921
Exeter Forever Fund				3,069	3,135
Devon Research Scholarships				1,079	1,129
Sir Steve Smith Scholars Fund				1,168	1,078
Special Collections				950	993
Other permanent funds				4,155	4,370
Total Permanent Funds				28,647	31,626
Fozzard Medical Students Bursary Fund				3,035	614
HRH Prince Al-Waleed Al Saud Awards				1,666	1,841
Ines Barroso Fund				1,415	1,460
John Oldacre Foundation				1,049	1,141
The Carlotta Palmer Legacy				608	717
Other expendable endowments				12,274	12,148
Total Expendable Funds				20,047	17,921

*£2.9m of accrued legacy income is included in 2021/22

Notes to the Financial Statements

NOTE 23 ENDOWMENT RESERVES (continued)

Permanent funds descriptions

- The Institute for Arab and Islamic Studies (IAIS) Fund provides financial support for academic chairs within the Institute.
- The Exeter Forever Fund is a permanent unrestricted endowment. All legacies donated to the University (except those with specific restrictions) are allocated to the Exeter Forever Fund.
- The University hold funds for research scholarships for specific awards for residents of Devon and Cornwall.
- Sir Steve Smith Scholars Fund supports widening participation scholars across all faculties.
- The Special Collections fund is held to fund future additions to the Heritage Asset investments.
- The remaining permanent funds comprise 77 separate funds that are used for scholarships, prizes and general educational support.

Expendable funds descriptions

- Fozzard Medical Students Bursary Fund supports scholarship and bursary awards within University of Exeter Medical School.
- The HRH Prince Al-Waleed Al Saud scholarships are for IAIS students who are citizens of countries outside the Arab world. The scholarships are intended to support IAIS students in their University of Exeter assessments, by contributing to the cost of visiting Arab countries to undertake a recognised Arabic language course, or undertake research for a dissertation.
- Ines Barroso Fund supports of epidemiology work carried out by Professor Ines Barroso.
- John Oldacre Foundation gift of £1m was received for funding John Oldacre Foundation research fellow between 2019 and 2023 with subsequent creation of a permanent endowment fund for funding PhD students.
- The Carlotta Palmer Legacy funds were left to the University by the donor to be utilised within science disciplines. These funds are used to support a minimum of 9 studentships across 3 colleges.
- The remaining expendable funds are comprised of 315 separate restricted funds which were donated for a specified purpose, with no obligation to retain capital.

NOTE 24 UNRESTRICTED RESERVES

	GROUP		UNIVERSITY	
	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Income and expenditure reserve				
Balances at 1 August	446,203	450,561	454,967	454,565
(Deficit)/surplus from the income and expenditure statement	(99,359)	(12,928)	(99,339)	(9,671)
Other comprehensive income	13,227	8,310	1,983	10,073
Transfers between revaluation and income and expenditure reserve	-	260	-	-
Total comprehensive income/(expenditure) for the year	(86,132)	(4,358)	(97,356)	402
Balances at 31 July	360,071	446,203	357,611	454,967

NOTE 25 REVALUATION RESERVE

	GROUP					UNIVERSITY				
	Freehold land and buildings £'000	Heritage assets £'000	Non-current investments £'000	2022 Total £'000	2021 Total £'000	Freehold land and buildings £'000	Heritage assets £'000	Non-current investments £'000	2022 Total £'000	2021 Total £'000
Balances at 1 August	13,343	8,680	-	22,023	22,539	-	8,940	-	8,940	9,196
Revaluation in year	-	156	86	242	(256)	-	156	86	242	(256)
Transfers from revaluation to general reserve										
Depreciation on re-valued assets	-	-	-	-	(260)	-	-	-	-	-
Total reserve movement for the year	-	156	86	242	(516)	-	156	86	242	(256)
Balances at 31 July	13,343	8,836	86	22,265	22,023	-	9,096	86	9,182	8,940

Notes to the Financial Statements

NOTE 26 CAPITAL COMMITMENTS

Group and University	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Commitments contracted at 31 July	18,217	8,906
Authorised but not contracted at 31 July	22,328	34,006
Total	40,545	42,912

Capital commitments will be funded by a mixture of grants, loans, donations and internal working capital.

NOTE 27 FINANCIAL COMMITMENTS

Operating Leases	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Expiring within one year	439	348
Expiring between two and five years	368	224
Total	807	572

Provisions	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Exeter Science Park Ltd guarantee	2,648	2,400
Overseas tax uncertainties provision	1,009	-

The Heart of the South West Local Enterprise Partnership (LEP) has provided a loan facility to Exeter Science Park Limited (ESPL) for the development of the Science Park Centre. The University, jointly with Devon County Council, has provided a loan guarantee facility for up to 50% of the debt outstanding on the loan expiration date. The University has prudently provided for this guarantee to be called upon, setting aside £2,648k in the event that the University is required to fund its repayment to the LEP. The liability becomes payable on 31 October 2023. The amount provided for is based on the likelihood of interim loan repayments by ESPL to the LEP, according to their Business Plans, discounted to present value.

Other Liabilities

In addition to the liabilities recognised in these Financial Statements, the University also has financial guarantees and commitments with third parties which are not quantified as the likelihood of them being realised is remote. The two key commitments in place as at 31 July 2022 are:

- The University acts as guarantor, jointly with Falmouth University, on the FX + Ltd bank loans.
- The University underwrites the rental income charged to INTO University of Exeter LLP for the use of academic buildings.

NOTE 28 PENSION SCHEMES

Different categories of staff were eligible to join one of five different schemes:

- Universities' Superannuation Scheme (USS)
- University of Exeter Retirement Benefits Scheme (ERBS)
- University of Exeter Retirement Savings Scheme (ERSS)
- National Employer Savings Trust Pension Scheme (NEST)
- National Health Service Pension Scheme (NHSPS)

The two schemes, being USS and ERBS, are both defined-benefit schemes contracted out of the State Second Pension (S2P), the assets of which are held in separate trustee administered funds. The ERBS scheme closed to new entrants and to further benefits to existing members on 30 November 2016.

ERSS are defined contribution pension arrangement which was open to all staff on grades B-D on 30 November 2016.

NEST is a money purchase scheme contracted into the State Second Pension (S2P), which covers workers who are not already members into an appropriate pension scheme.

(i) NHS Pension Scheme

The University of Exeter is classified as a "Directions Employer" with regard to the NHSPS and as such can offer continued membership of the scheme to some members of staff as long as they fulfil the required criteria. The NHSPS is a multi-employer defined benefit scheme which is contracted out of the S2P. The notional assets of NHSPS are assessed by the Government Actuary and the benefits are underwritten by the Government.

The NHS Pension Scheme is a defined benefit public service pension scheme, which operates on a pay-as-you-go basis. A new reformed scheme was introduced on 1 April 2015 that calculates pension benefits based on career average earnings. Transitional arrangements permit individuals who on 1 April 2012 were within ten years of normal pension age to continue participating in the old 'final salary' NHS Pension Scheme arrangements (the 1995 and 2008 sections).

An HM Treasury pension scheme valuation for funding purposes was carried out as at March 2012. The Scheme Regulations have been changed to allow contribution rates to be set by the Secretary of State for Health, with the consent of HM Treasury, and consideration of the advice of the Scheme Actuary and appropriate employee and employer representatives as deemed appropriate. The employer contribution rate payable from April 2019 is set to 20.6% of the total pensionable salary, in accordance with the conclusion of the Government Actuary's report on the scheme.

Notes to the Financial Statements

NOTE 28 PENSION SCHEMES (continued)

Costs for the schemes, included in the Statement of Comprehensive income, were:

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Pension Contributions		
USS	34,121	31,900
ERSS	2,392	2,334
ERBS scheme expenses	602	465
Other pension schemes	1,245	478
Total in Staff Costs	38,360	35,177
Repayment of USS scheme deficits	4,346	3,340
Repayment of ERBS scheme deficits	1,962	1,592
Total pension schemes costs	44,668	40,109

(ii) Universities Superannuation Scheme

The institution participates in Universities Superannuation Scheme (USS) which is the main scheme covering most academic and academic-related staff. The Scheme is a hybrid pension scheme, providing defined benefits, as well as defined contribution benefits. The assets of the scheme are held in a separate trustee-administered fund.

USS is a multi-employer scheme and is accounted for as set out in the accounting policies.

The total increase of the liability attributable to USS of £128.2m (2021: increase £17.9m) is reflected in the Consolidated Statement of Comprehensive Income.

The 2020 valuation was the sixth valuation for USS under the scheme-specific funding regime introduced by the Pensions Act 2004, which requires schemes to have sufficient and appropriate assets to cover their technical provisions. The scheme's value at the valuation date is presented in the table below:

Scheme Assets and Liabilities	2020 valuation	2018 valuation
Total scheme assets	£66.5bn	£63.7bn
Total scheme liabilities	£80.6bn	£67.3bn
FRS 102 total scheme deficit	£14.1bn	£3.6bn
FRS 102 total funding level	83%	95%

Deficit recovery contributions due within one year for the institution are £12.2m (2021: £4.3m).

The latest available complete actuarial valuation of the Retirement Income Builder section of the scheme is at 31 March 2020 ("the valuation date"), which was carried out using the projected unit method.

Key Sources of Estimation Uncertainty

Key estimates and assumptions concerning the future are based on historical experience and various other factors and may pose a significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next financial year.

Determining the liability for future contributions requires an estimation of the present value of future cash flows which depends on the percentage of contributions which will be attributed to deficit elimination along with future salary inflation and the identification of a suitable discount rate.

The key financial assumptions used in the 2020 valuation are described below. More detail is set out in the Statement of Funding Principles (uss.co.uk/about-us/valuation-and-funding/statement-of-funding-principles).

CPI assumption	Term dependent rates in line with the difference between the Fixed Interest and Index Linked yield curves less: 1.1% p.a. to 2030, reducing linearly by 0.1% p.a. to a long-term difference of 0.1% p.a. from 2040
Discount rate (forward rates)	Fixed interest gilt yield curve plus: Pre-retirement: 2.75% p.a. Post retirement: 1.00% p.a.
Pension increase (subject to floor of 0%)	CPI assumption plus 0.05%

The main demographic assumption used relates to the mortality assumptions. These assumptions are based on analysis of the scheme's experience carried out as part of the 2020 actuarial valuation. The mortality assumptions used in these figures are as follows:

	2020 valuation
Mortality base table	101% of S2PMA "light" for males and 95% of S3PFA for females
Future improvements to mortality	CMI_2019 with a smoothing parameter of 7.5, an initial addition of 0.5% p.a. and a long-term improvement rate of 1.8% p.a. for males and 1.6% p.a. for females

The current life expectancies on retirement at age 65 are:	2022	2021
Males currently aged 65 (years)	23.9	24.7
Females currently aged 65 (years)	25.5	26.1
Males currently aged 45 (years)	25.9	26.7
Females currently aged 45 (years)	27.3	27.9

Notes to the Financial Statements

NOTE 28 PENSION SCHEMES (continued)

A new deficit recovery plan was put in place as part of the 2020 valuation, which requires payment of 6.2% of salaries over the period 1 April 2022 until 31 March 2024 at which point the rate will increase to 6.3%. The 2022 deficit recovery liability reflects this plan. The liability figures have been produced using the following assumptions:

	2022	2021
Discount rate	3.31%	0.87%
Pensionable salary growth:		
Year 1	4.18%	3.5%
Year 2-3	8.00%	3.5%
Year 4	6.00%	3.5%
Year 5-17	4.18%	3.5%

The employers' contribution rates are as follows:

Effective date	Rate
1 October 2019 to 30 September 2021	21.1%
1 October 2021 to 31 March 2022	21.4%
1 April 2022 to 31 March 2024	21.6%
1 April 2024 to 30 April 2038	21.4%

Sensitivity analysis

As set out in the accounting policies, there are some critical judgements made in estimating the obligation to fund the USS deficit. The sensitivity of the principal assumptions used to measure the USS deficit provision are set out below:

Change in assumptions at 31 July 2022	Impact: increase/(decrease) of USS provision £'000
0.5% p.a. decrease in discount rate	9,071
0.5% p.a. increase in salary inflation over duration	8,866
0.5% p.a. increase in salary inflation year 1 only	1,012
0.5% increase in staff changes over duration	9,331
0.5% increase in staff changes year 1 only	1,016

(iii) University of Exeter Retirement Benefit Scheme (ERBS)

The University operated a final salary defined benefit pension scheme that certain employees of the University could participate in, called the University of Exeter Retirement Benefit Scheme. The Scheme is closed to future accrual in November 2016. A replacement defined contribution scheme, the University of Exeter Retirement Savings Scheme (ERSS) was effective from 1 December 2016.

The funding policy of the scheme is to hold assets which are at least equal to the technical provisions calculated at each triennial valuation. The last triennial actuarial valuation of the ERBS scheme was performed as at 5 April 2021 by a professionally qualified actuary. The valuation shows that the scheme deficit was £25.2 million,

representing a funding level of 85%, compared to a deficit of £21m and funding level of 86% at the 2018 valuation. A revised recovery plan resulted in deficit contributions increasing by £0.75m per year between 1 January 2022 and 31 December 2024 and then further £1.05m from 1 January 2025 to 31 December 2027.

The deficit recovery plan aims to eliminate the scheme deficit by 31 December 2027.

In 2020/21, the University has updated the methodology used to derive the CPI inflation assumption in light of the RPI reform proposals published on the 4th September 2019 by the UK Chancellor of the Exchequer and UK Statistics Authority. The best estimate RPI-CPI wedge applied when setting the CPI assumptions has been updated from 0.6% to 0.7%.

In previous year, the University has updated the methodology used to derive the RPI inflation assumption, in particular, the methodology used to set the market break even RPI inflation rate has been updated from a spot rate to a single equivalent approach, and the inflation risk premium applied to this market break even RPI inflation rate has been updated from 0.4% to 0.2%.

The University has also changed the model used to derive the pension increase assumptions.

The financial assumptions used to calculate scheme liabilities under FRS 102 as at 31 July are:

	2022	2021
Discount rate	3.3%	1.6%
Inflation assumption (RPI)	3.4%	3.3%
Inflation assumption (CPI)	2.8%	2.6%
Pension payment increase for ERBS members – pre 01/08/10	2.8%	2.6%
Pension payment increase for ERBS members – post 01/08/10	2.1%	2.0%

The most significant non-financial assumption is the assumed level of longevity. The table below shows the life expectancy assumptions used:

	2022 valuation	2021 valuation
Mortality base table	105% of S3PMA for males and females	105% of S2PMA for males and females
Scaling factor applied to base mortality rates	Deferred members: 115% (male) and 110% (female) Pensioner Members: 105% (male) and 100% (female)	105%
Mortality projection basis	CMI_2021 (Core) projection model, with 1% long term trend improvements	CMI_2020 (Core) projection model, with 1% long term trend improvements

The mortality rates are based on publicly available mortality tables for the UK. COVID-19 has caused a short-term increase in deaths in the UK but the excess deaths have not generally had a material impact on UK pension scheme liabilities. The future impact of COVID-19 long term mortality improvement is uncertain with potentially adverse implication of adverse medical interventions and long COVID, with potentially positive implications if the surviving population is less frail or the pandemic causes improved healthcare initiatives and lifestyle choices. Overall, we believe currently that there is insufficient evidence to require an explicit adjustment to the mortality assumptions for COVID-19.

Notes to the Financial Statements

NOTE 28 PENSION SCHEMES (continued)

Years from date of retirement:	2022	2021
Males currently aged 65 (years)	20.8	21.1
Females currently aged 65 (years)	23.6	23.1
Males currently aged 45 (years)	21.1	22.0
Females currently aged 45 (years)	24.1	24.3

The mortality assumptions have been updated in line with those used for the recently completed actuarial valuation of the scheme. The CMI model used to allow for future mortality improvements has also been updated from the 2020 to the 2021 version. The combined effect of these changes on the defined benefit obligation is negligible.

The core version of the 2021 model excludes mortality experience from 2020 and 2021, as the CMI considers that the mortality experience in 2020 and 2021, which was highly impacted by the COVID-19 pandemic, is unlikely to be representative of longer-term mortality trends. Although the 2021 CMI model does allow the user to adjust the model to give some weighting to 2020 and 2021 data, these adjustments have not been made at this time, as the effects of the coronavirus pandemic on longer term mortality are still unknown.

Scheme assets and expected rate of return for ERBS

The assets in the scheme and the expected rates of return together with the reconciliation of funded status to the Statement of Financial Position were as follows:

		2022 £'000		2021 £'000
Equities	20.3%	25,680	19.3%	31,056
Corporate Bonds		-	10.7%	17,200
Government Bonds	78.9%	99,685	68.8%	110,497
Cash/Other	0.8%	1,058	1.2%	1,823
Total		126,423		160,576
Present value of scheme liabilities		(124,418)		(164,476)
Pension asset/(liability)		2,005		(3,900)

Pension asset has not been recognised as such on the Statement of Financial Position, as there is no automatic entitlement to a refund from the scheme.

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Actual return on Scheme Assets		
Actuarial (loss)/gain on assets	3,989	10,073
Interest income	2,547	2,110
	6,536	12,183

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Analysis of the amount charged to the Statement of Comprehensive Income		
Scheme expenses	(602)	(465)
Interest income on assets	2,547	2,110
Interest cost on defined benefit obligations	(2,593)	(2,314)
Total charge to Statement of Comprehensive Income	(648)	(669)

Analysis of movements

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Movement in the scheme surplus/(deficit)		
Opening deficit	(3,900)	(15,361)
Contributions paid	2,564	2,057
Scheme expenses	(602)	(465)
Interest income on assets	2,547	2,110
Interest cost on defined benefit obligations	(2,593)	(2,314)
Actuarial gain	3,989	10,073
Surplus/(deficit) on scheme at the end of the year	2,005	(3,900)

Notes to the Financial Statements

NOTE 28 PENSION SCHEMES (continued)

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000	Movement in the present value of ERBS Defined Benefit Obligations	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Movement in the fair value of scheme assets			Opening Defined Benefit Obligations	164,476	167,693
Opening fair value of assets	160,576	152,332	Interest cost	2,593	2,314
Interest income	2,547	2,110	Actuarial losses	(37,868)	(685)
Actuarial (loss)/gain on assets	(33,879)	9,388	Actual benefit payments	(4,783)	(4,846)
Employers' contributions	2,564	2,057	Closing Defined Benefit Obligations	124,418	164,476
Scheme expenses	(602)	(465)			
Actual benefit payments	(4,783)	(4,846)			
Fair value of assets at the end of the year	126,423	160,576			

ERBS assets do not include any of the University's own financial instruments, or any property occupied by the University.

Recent changes in global and UK economic pressures and tightening of monetary policy have had a significant impact on asset markets and corporate bonds yields, which are key to the FRS102 assessment of the net pension asset or liability. In particular, AA corporate bond yields, used to set the FRS102 discount rate, have increased significantly since 31 July 2022, with corresponding falls in asset values. The markets have been exceptionally volatile and therefore while both gross Defined Benefit Obligations and assets will have fallen, it is difficult to estimate the impact of these changes on the net balance sheet position.

NOTE 29 PROVISIONS FOR LIABILITIES

	Provision for USS pension liability £'000	Defined Benefit Obligations on ERBS pension £'000	Total pensions provision £'000	Other provisions £'000	Total provisions 31 July 2022 £'000	Total provisions 31 July 2021 £'000
At 1 August 2021	82,739	3,900	86,639	2,400	89,039	82,635
Deficit repayments in year	(4,346)	(1,963)	(6,309)	-	(6,309)	(4,932)
Actuarial losses/(gains)	-	(1,983)	(1,983)	-	(1,983)	(10,073)
2021/22 movement	131,817	-	131,817	1,257	133,074	20,731
Interest on pension liability	720	46	766	-	766	678
At 31 July 2022	210,930	-	210,930	3,657	214,587	89,039

Pension provisions

The provision for the Universities Superannuation Scheme (USS) liability arises from the contractual obligation with the USS to make payments in accordance with the 2020 deficit recovery plan. In calculating this provision, management have estimated future staff levels for the duration of the contractual obligation, salary inflation and an appropriate discount rate. Key assumptions are set out in note 28(ii).

Other Provisions

£2.6m of the other provision is in relation to the guarantee held over Exeter Science Park Limited. £1.0m is in relation to the overseas tax uncertainties. See note 27 for more details.

Notes to the Financial Statements

NOTE 30 RELATED PARTY TRANSACTIONS

The University has taken advantage of the exemption not to disclose transactions with subsidiaries that are wholly owned. Included in the table below are transactions with related parties of the University not covered by the exemption.

Year ended 31 July 2022	Recognised Income £'000	Recognised Expenditure £'000	Balance due to/ (from) the University £'000
Advanced HE	-	160	-
Binit Group Ltd	-	209	(27)
City Science Corporation Limited	140	-	7
Cornwall and Isles of Scilly LEP	-	-	(1)
Diabetes UK	496	68	51
Elsevier The Cell Surface	5	220	7
Exeter City Futures CIC	-	1	-
Exeter College	77	3	41
Exeter Northcott theatre	162	18	-
Exeter Science Park Ltd	213	140	54
FX + Ltd	70	12,608	328
Gilead Sciences Research Scholars	151	-	10
Global City Futures Limited	-	6	-
GSK (formerly GlaxoSmithKline) plc	15	-	-
INTO University of Exeter	5	806	133
JISC	-	2,054	(101)
John Wiley & Sons Ltd	-	24	(2)
Kortext	-	632	-
Oxygen House Group Ltd	1	-	-
Royal Devon University Healthcare NHS Foundation Trust	5,262	1,842	1,826
Royal Society University Research Fellowship	22	171	2
Russell Group	-	83	-
South West Institute of Technology	2	-	-
Ted Wragg Multi Academy Trust	-	7	-
The University of Manchester	1,250	212	56
Universities UK	-	74	-
University of Cambridge	647	428	(37)
University of Dundee	35	-	-

This includes members of Council, as detailed at the front of the accounts. All transactions involving organisations in which a member of Council may have an interest are conducted at arm's length under normal market conditions and in accordance with the University's financial regulations and normal procurement procedures, which require individuals to declare any interest.

Year ended 31 July 2021	Recognised Income £'000	Recognised Expenditure £'000	Balance due to/ (from) the University £'000
Advanced HE	-	(1)	(1)
Bailey Partnership	1	-	-
Binit Group Ltd	-	181	(64)
Camborne School of Mines Trust	9	-	-
City Science Corporation Limited	16	-	7
Cornwall and Isles of Scilly LEP	-	-	1
Diabetes UK	427	-	55
Exeter College	48	-	-
Exeter Northcott theatre	93	261	30
Exeter Science Park Ltd	259	16	1
FX + Ltd	163	9,968	(5)
Global City Futures Limited	-	40	-
Institution of Structural Engineers	1	-	-
INTO University of Exeter	1,185	1,122	230
John Wiley & Sons Ltd	-	16	(12)
Royal Devon University Healthcare NHS Foundation Trust	6,526	2,227	1,481
South West Institute of Technology	2	15	-
Ted Wragg Multi Academy Trust	-	4	-
The South West Food Hub Community Interest Company	-	15	-
The University of Manchester	781	242	53
Universities UK	-	50	-
University of Cambridge	706	319	92
University of Dundee	41	7	12
Westerdijk Institute	-	-	(2)
Willis Tower Watson plc	15	-	-

Notes to the Financial Statements

NOTE 30 RELATED PARTY TRANSACTIONS (continued)

- Advance HE is a member-led, sector-owned charity that works with institutions and higher education across the world to improve higher education for staff, students and society. One council members is a Board Member in Advance HE.
- Binit Group Limited provides rubbish and recycling services for businesses. One council member is an investor.
- City Science Corporation Limited is a technology company created to optimise complex urban systems. One council member is the chairman and a shareholder.
- Cornwall and Isles of Scilly LEP is a partnership between public and private sectors, established to drive economic strategy for the area. One Council member is a Board Member.
- Diabetes UK is the UK leading diabetes charity. An Independent Member of Audit Committee is a member of the Diabetes Research Steering Group.
- Elsevier The Cell Surface is a highly multidisciplinary journal focused on cell surface and cell walls, and the macromolecular landscape of organisms. One Exeter UEB⁹ member is Editor in Chief.
- Exeter City Futures CIC is a collaborative governance structure made up of key Exeter stakeholders including Exeter City Council, Devon County Council, Exeter College, the University of Exeter and the Royal Devon University Healthcare NHS Foundation Trust, as well as Global City Futures. One Council member is a CEO of the Global City Futures.
- Exeter College provides education for students. One council member is the Vice Chair of the Board of Governors, one Exeter UEB member is a member of the Governing Body.
- Exeter Northcott theatre is a registered charity in England and Wales and a Company limited by guarantee. The University is one of core funders of the company. One Council member is a Trustee of the company.
- Gilead Sciences Research Scholars support innovative research from emerging investigators around the world to advance scientific knowledge and improve the lives of patients everywhere. One Exeter UEB member is a Chair of the Governing Body.
- Global City Futures Limited is a consultancy that partners with local authorities and institutional leaders to co-create lasting solutions to urbanisation and establishing sustainable, 21st Century cities. One Council member is a CEO of the company.
- GSK (formerly GlaxosmithKline) pls is a British multinational pharmaceutical and biotechnology company with global headquarters in London, England. One of Council members is a director.
- JISC is a United Kingdom not-for-profit company that provides network and IT services and digital resources in support of further and higher education institutions and research as well as not-for-profits and the public sector. One Exeter UEB member is a Board Member of JISC.
- John Wiley & Sons is a multinational publishing company that focuses on academic publishing and instructional materials. One Exeter UEB member is an editor in microbiology.
- Kortext is the UK's leading experience and engagement platform with personalised learning space and access to vast number of digital textbooks. Exeter UEB member is the Academic Advisory Board member at Kortext.
- Oxygen House Group Ltd invests in environmental rebalance and obilises financial, scientific, mathematical and engineering expertise. One Council member is a director.
- Royal Devon University Healthcare NHS Foundation Trust serves the population of Devon and carries out cutting edge research into new treatments and understanding of diseases. One council member is a non-executive director.
- Royal Society University Research Fellowship is a research fellowship awarded to outstanding early career scientists in the United Kingdom who are judged by the Royal Society to have the potential to become leaders in their field. EUEB member is a Chair.
- Russell Group comprised of leading UK universities with a shared focus on research and a reputation for academic achievement. One Exeter UEB member is a Chair of PVC Education Group and the other is a Russel Group Board member.
- South West Institute of Technology is a collaboration between a number of partner organisations that provides technical education to learners and skills to employers. One council member is a Board member.
- Ted Wragg Multi Academy Trust works in partnership with schools, local community and businesses to enhance and broaden an education experience. One Exeter UEB member is a Nominated Member of the Academy.
- The University of Manchester is part of Russel Group of universities. One Exeter UEB member is an Honorary Professor.
- Universities UK works with universities, government and stakeholders to continue improving UK's higher education sector. One Exeter UEB member is a Member of UUK's Charter for Portfolio Review Advisory Group.
- The University of Cambridge is a part of Russel Group universities. One council member is a Policy Fellow Alum.
- The University of Dundee is higher education institution in the UK. One council member is an Honorary Professor.
- INTO University of Exeter LLP is a limited liability partnership between Exeter ISC Limited, a wholly owned subsidiary of the University, and INTO Exeter Limited, a wholly owned subsidiary of INTO University Partnerships Limited.
- The annually elected Student President of the University of Exeter Student Guild is a Council Member.
- FX + Ltd is a service delivery partner of Falmouth University and the University of Exeter which provides shared Higher Education services and facilities. University Registrar and Secretary is a Board Member.
- The Falmouth and Exeter Students Union (FXU) is a membership-led charity for Falmouth and Exeter University students.
- The University of Exeter Retirement Benefit Scheme (ERBS) is a post-employment benefit plan for the benefit of the University employees. Details of transactions with ERBS are provided in Note 28.

All outstanding balances with the related parties are unsecured and are due for settlement in the form of cash. There was no expense recognised during the year in respect of bad or doubtful debt and no provisions were made for uncollectable receivables.

⁹ UEB – University Executive Board

Notes to the Financial Statements

NOTE 30 RELATED PARTY TRANSACTIONS (continued)

FX + Ltd

For further information on FX + Ltd see note 16 on Joint Ventures.

The University and Falmouth University have jointly and equally guaranteed four loan facilities to FX + Ltd:

- A loan from Lloyds TSB Bank plc of £18.6m for 30 years at a fixed rate of 5.89% which was drawn down in September 2004.
- A loan from Lloyds TSB Bank plc for £12.1m for a term of 30 years at a fixed rate of 5.215% which was drawn down in December 2006.
- A loan from Barclays Bank Plc of £20.5m for new residences. The loan is repayable over 30 years, at a variable rate linked to SONIA plus 0.275% margin, and was drawn down in July 2010.
- A loan of £8m for new residences, £4m from the European Investment Bank (EIB) at a fixed rate of 2.4% and £4m from Lloyds TSB Bank at a fixed rate of 2.1%. The loan is repayable over 16 years. The EIB loan was drawn down in May 2012 and the Lloyds loan was drawn down in various stages from June 2012 – Oct 2013.
- The total FX + Ltd debt as at 31 July 2022 is £37.9m (2021: £43.0m). The University has guaranteed 50% of this balance, totalling £18.9m (2021: £21.5m).

The FX+ Limited has capital commitments as follows:

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Commitments contracted at 31 July	361	110
Authorised but not committed at 31 July	413	-
	774	110

Transactions between the University and FX + Ltd were as follows:

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Income derived from the FX + Group	70	163
Expenditure incurred with the FX + Group	12,608	9,968

The balances owing between the University and FX + Ltd at the year-end were as follows:

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Amount owing from the FX + Group	328	5

INTO University of Exeter LLP / Exeter ISC Limited

For further information on INTO see Note 16 on Joint Ventures.

Transactions between the University and INTO University of Exeter LLP in the normal course of business were as follows:

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Income derived from INTO	5	1,185
Expenditure incurred with INTO	806	1,122

The balances owing between the University and INTO University of Exeter LLP at the year-end were as follows:

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Amount due to the University from INTO	133	230

In April 2021 the partners of INTO University of Exeter LLP provided loans of £1m each, to fund working capital requirements of the partnership. The loan has now been repaid.

Notes to the Financial Statements

NOTE 31 DEPARTMENT FOR EDUCATION AND TEACHING REGULATION AGENCY (DETRA) INITIAL TEACHER TRAINING BURSARIES

DETRA training bursaries are available solely for students; the University acts only as paying agent. The training bursaries are therefore excluded from the Statement of Comprehensive Income.

	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Balance at 1 August	189	465
NCTL Grants	1,386	3,742
Disbursed to students	(1,555)	(4,018)
Balance at 31 July	20	189

NOTE 32 REGULATORY DISCLOSURES

The Office for Students requires the University to publish additional information, set out in the OfS Regulatory Advice 9: guidance on preparing and publishing financial statements for accounting periods beginning on or after 1 August 2019. This covers data on senior staff costs and the Vice-Chancellor's remuneration which is included in Note 7 on Staff Costs. In addition we are required to publish supplementary data on tuition fees and teaching grant and on access and participation expenditure, as set out below.

Grant and Fee income

Group and University	Year Ended 31 July 2022 £'000	Year Ended 31 July 2021 £'000
Grant income from the OfS	17,915	15,829
Grant income from other bodies	44,841	43,587
Fee income for taught awards	306,127	268,841
Fee income for research awards	11,771	11,516
Fee income from non-qualifying courses	8,737	7,134
Total grant and fee income	389,391	346,907

This note is a consolidation of Note 1 and Note 2.

Notes to the Financial Statements

NOTE 32 REGULATORY DISCLOSURES (continued)

Expenditure on Access and Participation related activities for the year ended is included in the Statement of Comprehensive Income and presented in the table below:

	Year Ended 31 July 2022 £'000	Restated Year Ended 31 July 2021 £'000
Access and Participation		
Access Investment	3,647	2,778
Financial Support	5,945	6,956
Disability Support (excluding expenditure included in the two categories above)	1,047	927
Research and Evaluation	413	400
Total	11,052	11,061

Total Access and Participation costs are calculated using a combination of direct costs captured through our accounting system and indirect costs which were calculated using an assumptions based model.

These assumptions are based on analysis undertaken by our finance team working closely with departments across the University to capture all available data for input into the model to ensure a robust methodology.

- £3.813m of these costs (2021: £3.295m) are already included in the overall staff costs figures included in the financial statements (see Note 7);
- The published access and participation plan can be found here: [Access and Participation Plan 20/21-24/25](https://www.exeter.ac.uk/access-and-participation-plan-2021-24-25) (exeter.ac.uk)

NOTE 33 ALAN TURING GRANT

The Turing scheme is the UK government's global programme providing funding for study and work abroad placements.

Turing Scheme funding is available on a competitive basis for students going on a study or work abroad placement that is from 4 weeks to 12 months in duration, to help students make the most of their time abroad.

	Year Ended 31 July 2022 £'000
Grant funding received	1,115
Grant funding provided to students	(313)
Balance at 31 July	802

Notes to the Financial Statements

NOTE 34 US DEPARTMENT OF EDUCATION FINANCIAL RESPONSIBILITY SUPPLEMENTAL SCHEDULE

In satisfaction of its obligations to facilitate students' access to US federal financial aid, the University is required, by the US Department of Education, to present the following Supplemental Schedule in a prescribed format.

The amounts presented within the schedules have been:

- prepared under the historical cost convention, subject to the revaluation of certain fixed assets;

- prepared using United Kingdom generally accepted accounting practice, in accordance with Financial Reporting Standard 102 (FRS 102) and the Statement of Recommended Practice: Accounting for Further and Higher Education (2019 edition);

- presented in pounds sterling.

The schedules set out how each amount disclosed has been extracted from the financial statements. As set out above, the accounting policies used in determining the amounts disclosed are not intended to and do not comply with the requirements of accounting principles generally accepted in the United States of America.

Primary Reserve Ratio Line item/related disclosures

		Year ended 31 July 2022 £'000	Year ended 31 July 2021 £'000
	£'000	£'000	£'000
	Expendable Net Assets	62,466	12,813
Statement of Financial Position – Net assets without donor restrictions	Income and expenditure reserve	360,071	446,203
Statement of Financial Position – Net assets without donor restrictions	Revaluation reserve	22,265	22,023
Statement of Financial Position – Net assets with donor restrictions	Endowment reserve	48,694	49,547
Statement of Financial Position – Restricted reserves	Income and expenditure reserve	122	42
Note 23 – net assets with donor restrictions – restricted in perpetuity	Restricted permanent endowments	25,578	28,491
Note 23 – net assets with donor restrictions – restricted in perpetuity	Unrestricted permanent endowments	3,069	3,135
Note 23 – annuities, term endowments and life income funds with donor restrictions	Expendable endowments	20,047	17,921
Statement of Financial Position – Restricted reserves	Income and expenditure reserve	122	42
Statement of Financial Position – Non-current assets	Intangible assets	7,751	6,733
Statement of Financial Position – non-current assets, net property, plant and equipment	Tangible fixed assets	730,165	742,923
Statement of Financial Position – provisions, post-employment and defined benefit pension plan liabilities	Pension provisions	210,930	86,639
Note 20 – Long term debt obtained for long term purposes	Bank loans	209,580	209,566
Note 30 – Unsecured related party receivables	Sum of balances due to/(from) the University	2,464	1,962
	Total expenses and losses	548,196	488,008
Statement of Comprehensive Income – Total expenditure	Total expenditure	685,468	512,915
Note 23 – expenditure with donor restrictions	Expenditure	4,689	3,498
Statement of Comprehensive Income – Staff costs – movement on pension provisions	Staff costs – movement on pension provisions	131,817	20,731
Note 10 – Net charge on pension schemes	Net charge on pension schemes	766	678

Notes to the Financial Statements

NOTE 34 US DEPARTMENT OF EDUCATION FINANCIAL RESPONSIBILITY SUPPLEMENTAL SCHEDULE (continued)

Equity Ratio Line item/related disclosures

		£'000	Year ended 31 July 2022 £'000	£'000	Year ended 31 July 2021 £'000
	Modified Net Assets		420,937		509,120
Statement of Financial Position – Net assets without donor restrictions	Income and expenditure reserve		360,071		446,203
Statement of Financial Position – Net assets without donor restrictions	Revaluation reserve		22,265		22,023
Statement of Financial Position – Net assets with donor restrictions	Endowment reserve		48,694		49,547
Statement of Financial Position – Restricted reserves	Income and expenditure reserve		122		42
Statement of Financial Position – Non-current assets	Intangible assets	7,751		6,733	
Note 30 – Unsecured related party receivables	Sum of balances due to/(from) the University	2,464		1,962	
	Modified Assets		1,071,439		1,020,611
Statement of Financial Position – Non-current assets	Total non-current assets		811,422		812,272
Statement of Financial Position – Non-current assets	Total current assets		270,232		217,034
Statement of Financial Position – Non-current assets	Intangible assets	7,751		6,733	
Note 30 – Unsecured related party receivables	Sum of balances due to/(from) the University	2,464		1,962	

Net Income Ratio Line item/related disclosures

		£'000	Year ended 31 July 2022 £'000	£'000	Year ended 31 July 2021 £'000
	Change in Net Assets Without Donor Restrictions	85,890		4,874	
Statement of Comprehensive Income	Unrestricted comprehensive expenditure for the year	86,132		4,358	
Statement of Comprehensive Income	Revaluation reserve comprehensive (income)/ expenditure for the year		242	516	
	Total Revenue and Gains	580,326			498,121
Statement of Comprehensive Income – Total Income		586,924			501,572
Note 6 – New restricted endowments and donations	Note 6 – Total	5,603		2,615	
Note 6 – New restricted endowments and donations	Note 6 – Unrestricted donations		15		44
Note 23 – Restricted investment income		1,010		880	

Five Years Summary Accounts

INCOME AND EXPENDITURE

	2021/22 £'000	2020/21 £'000	2019/20 £'000	2018/19 £'000	2017/18 £'000
Income					
Tuition fees and education contracts	326,635	287,491	265,128	247,898	232,065
Funding body grants	62,756	59,416	53,241	47,006	45,795
Research grants and contracts	106,765	94,618	93,152	86,965	76,073
Other income	83,725	56,287	49,991	62,751	57,584
Investment income	1,440	1,145	2,064	1,413	1,450
Donations and endowments	5,603	2,615	4,733	3,245	2,522
Total income	586,924	501,572	468,309	449,278	415,489
Expenditure					
Direct staff costs	307,118	277,971	265,957	244,521	222,863
Movement on pension provision	131,817	20,731	(63,981)	85,878	(285)
Other operating expenses	181,148	154,216	138,071	142,261	139,969
Depreciation	59,054	53,754	52,845	46,323	41,594
Interest and other finance costs	6,331	6,243	7,745	6,514	10,110
Total expenditure	685,468	512,915	400,637	525,497	414,251
(Deficit)/surplus before other gains losses and share of joint ventures	(98,544)	(11,343)	67,672	(76,219)	1,238
(Loss)/gain on investments	(2,570)	7,768	(486)	2,491	1,404
Share of operating surplus/(deficit) in joint ventures	1,068	(1,585)	(97)	2,000	1,092
(Deficit)/surplus for the year	(100,046)	(5,160)	67,089	(71,728)	3,734
Cash generation (EBITDA)	57,748	35,780	42,401	44,858	42,356
Operating Surplus/(Deficit) (EBIT)	26,453	(721)	3,499	16,159	15,754
Operating Surplus as a % of income	5%	0%	1%	4%	4%
Staff cost ratio ¹⁰	52.2%	55.3%	56.5%	54.0%	53.3%

¹⁰ (Staff costs per Note 7, excluding movement in pension provisions and severance costs, as a % of total income).

STATEMENT OF FINANCIAL POSITION

	2021/22 £'000	2020/21 £'000	2019/20 £'000	2018/19 £'000	2017/18 £'000
Tangible and intangible assets	737,916	749,656	749,545	725,694	711,669
Heritage assets	9,245	9,088	9,088	9,093	7,244
Investments	48,799	48,429	40,979	38,073	41,998
Investment in joint venture	16,354	5,099	9,047	13,081	14,374
Net current assets	97,107	58,631	58,740	82,807	50,660
Creditors: due after one year	(262,790)	(264,049)	(270,099)	(269,363)	(240,972)
	646,631	606,854	597,300	599,385	584,973
Pension liability and other provisions	(214,587)	(89,039)	(82,635)	(136,569)	(47,343)
Total net assets	432,044	517,815	514,665	462,816	537,630
Represented by:					
Endowment reserve	48,694	49,589	41,482	40,726	38,228
Income and expenditure reserve	361,085	446,203	450,644	398,803	478,295
Revaluation reserve	22,265	22,023	22,539	23,287	21,107
Total reserves	432,044	517,815	514,665	462,816	537,630



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